Family First: CEOs' Private Incentives in Corporate Relocations

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Abstract

Using novel data on executives' families, we identify CEOs' private motives in moving corporate headquarters (HQ). We find that HQ relocations spike after the arrival of a new CEO and peak during their second year on the job. CEOs systematically relocate HQs closer to their families over plausible location alternatives. Over 35% of relocations place the new HQ within 50 miles of the CEO's children and away from production sites and industry clusters. Such relocations entail negative announcement returns, higher employee turnover, and weaker insider reviews. Using an out-of-state marriage of a CEO's child as an instrument for the CEO's location preferences, we show that executives' private incentives affect corporate migration.

JEL Classification: G14, G30, G34, J61, M12, R11

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1. Introduction

Many of a firm's most consequential decisions are made at its headquarters. This location houses the top executives and serves as a focal point for their interactions with the board, regulators, and other stakeholders. Beyond the firm, corporate headquarters (HQ) define the fabric of the local economy, shape regional labor markets, and drive the development of infrastructure. Thus, a firm's decision to move its headquarters has major implications for the internal workings of the firm and its interactions with outside stakeholders and communities.

We construct a comprehensive database of HQ relocations and study how CEOs' private incentives shape relocation decisions and their outcomes. We find that HQ relocations are widespread and economically important, with about 1,000 public firms moving their HQs at least once in the past three decades. This pattern permeates all major industries and generates a profound redistribution of executive offices across geographies. For example, about 87% of HQ relocations move firms across the state lines, with the median relocation shifting a firm's executive offices by 846 miles.

Using a textual analysis of corporate disclosures, we find that CEOs play a central role in a firm's decision to move its headquarters, in coordination with the board. In contrast, HQ relocations typically do not require a shareholder vote, and do not originate from shareholder proposals. Consistent with the importance of CEOs in these decisions, the likelihood of an HQ relocation increases by 113% after the arrival of a new CEO and peaks during their second year on the job. This spike in relocation propensity for new CEOs is even greater after executive departures unrelated to performance, such as those caused by death, illness, or age-based retirement. While CEOs appear to play a significant role in the selection of a firm's executive offices, we know relatively little about their personal incentives in such decisions.

This paper studies how CEOs' private incentives affect HQ relocations, shape their destinations, and influence economic outcomes. An answer to these questions remains elusive because CEOs' private incentives are difficult to observe and disentangle from those of other agents. Thus, such an analysis requires identifying CEO-specific incentives that can be measured for a large population of executives, wield sufficient power in their decisions, and unambiguously map to geographic locations.

Our paper makes a step towards such an experiment by focusing on CEOs' private incentives driven by their immediate family. These incentives are powerful and agent-specific. A large body of evidence identifies family factors among the top drivers of agents' utility and shows that family motives often supersede monetary considerations (Bertrand and Schoar, 2003; Roussanov and Savor, 2014; Cronqvist and Yu, 2017). The declining marginal utility of wealth further increases the role of family factors for well-compensated agents, such as CEOs. As a result, the unique structure of each CEO's immediate family allows us to elicit CEOs-specific family considerations and exploit personal events of their family members as plausibly idiosyncratic shocks to the CEO's geographic preferences.

Anecdotal evidence offers practical motivation for the role of CEOs' family considerations in headquarters relocations. Media accounts frequently suggest that some CEOs incorporate personal and family preferences into relocation decisions, particularly desires to live closer to children or extended family. Hilton Worldwide's relocation of its headquarters from Beverly Hills, California, to McLean, Virginia, illustrates both the potential importance of such preferences and the tensions they may create. Following his appointment, CEO Christopher Nassetta spearheaded the cross-country move to anchor the company's executive offices near his wife, six daughters, and their deep-rooted family network on the East Coast (Virginia Business, 2014). While official corporate disclosures framed the relocation as a strategic calculation to "significantly reduce our

operating expenses" (Hilton Hotels Corporation, 2009), the shift was heavily tied to the CEO's immediate family preferences. This prioritization of family geography generated severe institutional friction: local officials expressed shock and disappointment at the sudden departure (Los Angeles Times, 2009), and fewer than 20% of Hilton's 800 corporate employees agreed to relocate east, causing a massive human capital disruption (Virginia Business, 2014).[1]

To test the role of CEOs' family incentives, we construct a novel database of CEO family geography by hand-collecting comprehensive administrative vital records and LexisNexis public reports. This dataset allows us to map the immediate family members of each executive, tracing their historical addresses, local origins (inferred from Social Security number digits) and significant life events. By linking these micro-level geographic footprints to corporate decisions, we are able to isolate idiosyncratic variations in family-specific location preferences that are entirely unique to the CEO's household, providing a clean source of variation to identify how private family utility shapes institutional relocations.

Our main finding is that CEOs' private family incentives play a significant role in both the decision to relocate and the ultimate choice of the destination. Following a relocation, the median new headquarters is situated just 247 miles from the CEO's nearest child, compared to a median distance of 848 miles from the five largest alternative industry hubs in the same Fama–French-30 industry and year. This geographical sorting is even more pronounced at close proximity: 40.2% of new headquarters are located within 100 miles of a CEO's child – more than three times the rate of comparable industry hubs (12.0%) – while 35.0% are within 50 miles, compared to just 8.9% for industry hubs. These patterns persist in conditional logit specifications that pair each realized

[1] See "Turnaround CEO," *Virginia Business*, 2014, available here; "Hilton Hotels Plans to Relocate Headquarters," *Los Angeles Times*, January 22, 2009, available here; and "Hilton Hotels Corporation Announces Plans to Relocate Global Headquarters from Beverly Hills to Washington, DC Area," press release, January 22, 2009, available here.

destination with five industry-cluster pseudo-locations. Based on 100-mile industry grids, we estimate that halving the distance between a candidate location and the CEO's nearest child increases the odds of that location being selected as the new headquarters by 37.7%.

To distinguish the effect of the CEO's family incentives from confounding local or firm-level factors, we instrument the child's location using the home state of the child's spouse. Specifically, for each candidate headquarters destination, we instrument the log distance to the CEO's nearest child with the log distance to the geographic centroid of the child's spouse's home state. To ensure the exclusion restriction holds and that this instrument captures truly idiosyncratic variation, we restrict our sample to cases where the child's spouse originates from a different state than both the CEO and the CEO's own spouse. To the extent that a child's marital choices are exogenous to corporate traits, this strategy isolates an exogenous source of cross-sectional and time-series variation in the CEO's private location preferences, entirely decoupled from firm characteristics.

Instrumental variable regressions indicate that CEO's private family preferences have significant effects on the destination choices for the new headquarters. When we instrument the choice of primary residence for the CEO's children with their spouse's home state, we find that CEOs are significantly more likely to select headquarters locations closer to their children's primary residence (instrumented by the child's spouse home state). The economic magnitudes of these effects are slightly greater than those obtained in panel regressions.

In our final analysis, we study the economic consequences of CEOs' private incentives in HQ relocations. On the one hand, moving closer to the CEO's immediate family could increase the CEO's productivity, improve retention, and reduce the need for family travel. On the other hand, such personally motivated HQ relocations could add frictions if they induce employee turnover and move the firm away from its customers, suppliers, and industry peers.

While both mechanisms are likely operative, their net effect on firm value appears to be negative. Corporate relocations that move a firm's HQ within 100 miles of a CEO's child (hence personally motivated relocations) are associated with a negative announcement return of -90 to -110 basis points. This result is in sharp contrast to the muted market reaction for other relocations, which generate near-zero abnormal returns.

Our analysis reveals two mechanisms that contribute to the difference in outcomes. First, we find that personally motivated relocations are more likely to separate the new headquarters from the firm's production workforce. For example, such relocations have a 6.1 p.p. lower share of the firm's employees within 100 miles of the new HQ, resulting in a greater distance between the management at the new HQ and non-executive personnel. These results are consistent with prior evidence of value erosion from separating the management from the firm's operations (Giroud, 2013).

Second, in a difference-in-differences analysis, we find that personally motivated relocations are followed by higher employee turnover and weaker employee assessments of senior leadership and firm culture. Defining personally motivated relocations as moves that place the new headquarters within 100 miles of a CEO's child, we find that employee separation rates increase by 1.1 percentage points in year +1 and 1.4 percentage points in year +2, relative to other relocations. These effects are significant at the 10% and 5% levels, respectively, and are economically meaningful relative to the sample mean separation rate of 2.8%. We find a similar pattern in Glassdoor reviews. In the relocation year, employee ratings of senior leadership decline by 0.90 points for relocations within 100 miles of a CEO's child and by 0.82 points for relocations within 50 miles. Ratings of culture and values decline by 0.76 and 0.78 points, respectively, on the same 1-to-5 scale.

Overall, our results suggest that CEOs' private incentives have significant effects on the distribution of corporate headquarters and the directions of corporate migration. While most prior work examines CEO actions through the lens of monetary compensation, we highlight the role of family considerations as an important input in managerial decisions. Viewed broadly, our findings suggest that a more complete picture of the CEOs' nonmonetary incentives can improve our understanding of fundamental corporate decisions.

2. Related Literature

This paper relates to several strands of research in corporate finance, urban economics, and labor economics.

First, we contribute to the literature on headquarters location and relocation. Prior work shows that headquarters locations reflect agglomeration economies, labor-market depth, taxes, infrastructure, and access to specialized services. Strauss-Kahn and Vives (2009) show that U.S. headquarters relocations are more likely to target metropolitan areas with deeper labor markets, lower business taxes, and better airport infrastructure. Henderson and Ono (2008) show that headquarters concentrate in large urban centers and are often separated from production facilities to access service-sector agglomeration economies. Pirinsky and Wang (2006) document that firms headquartered in the same city exhibit common variation in stock returns, suggesting that location is associated with local information environments and investor clienteles. We extend this literature by documenting both when firms relocate, emphasizing the role of CEO turnover, and where they go, showing that destination choices are related to the residential geography of the CEO's immediate family.

Second, our paper builds on the literature showing that individual managers shape corporate policy. Bertrand and Schoar (2003) document that manager fixed effects explain substantial variation in investment, financing, and acquisition policies, establishing the "managerial style"

view of corporate decision-making. Subsequent work links specific managerial traits and experiences to firm policies, including overconfidence (Malmendier and Tate, 2005), early-life macroeconomic experiences (Malmendier et al., 2011), professional experiences (Dittmar and Duchin, 2016), and self-reported managerial attitudes (Graham et al., 2013). Bertrand and Mullainathan (2003) argue that managers insulated from external discipline pursue a "quiet life," avoiding difficult restructuring decisions. We contribute to this literature by studying a measurable personal characteristic, the geographic location of the CEO's family, and linking it to a corporate decision with a direct geographic counterpart.

Third, we relate to research on geography in financial and corporate decisions. Coval and Moskowitz (1999) show that mutual fund managers overweight locally headquartered firms, while Pool et al. (2012) show that fund managers also overweight stocks headquartered in the states where they grew up, even after controlling for the current location of the fund. Giroud (2013) shows that within-firm investment responds to changes in travel times between headquarters and plants, consistent with proximity facilitating monitoring. In the executive labor market, Yonker (2017) documents home bias in external CEO appointments and a wage premium for CEOs hired from outside the firm's state, consistent with executives facing costs of geographic mobility. We build on this evidence by focusing not on the CEO's own birth state or current residence, but on the geography of the CEO's family.

Fourth, our paper contributes to work on how CEOs' personal lives affect corporate outcomes. Cronqvist et al. (2012) show that CEOs' personal leverage is correlated with firm leverage, consistent with persistent risk preferences across personal and corporate domains. Roussanov and Savor (2014) show that married CEOs pursue less risky investment and financing policies than unmarried CEOs. Cronqvist and Yu (2017) document that CEOs with daughters run firms with higher corporate social responsibility scores. Duchin, Simutin, and Sosyura (2021) show that male

CEOs shaped by more gender-traditional environments allocate less investment capital to female division managers. We add to this literature by studying the residential location of CEOs' adult children, a personal attribute that maps directly into the geographic choices of the firm.

Fifth, we connect to labor economics research on household location choices. Mincer (1978) formalizes the trade-offs households face when one member's career opportunity requires a move that imposes costs on another. Costa and Kahn (2000) document the increasing concentration of highly educated dual-career couples in large metropolitan areas, and Compton and Pollak (2007) argue that thick labor markets help explain this pattern. We bring this household-level perspective into corporate finance by studying if the location of a CEO's family relates to where the firm places its headquarters.

Finally, our paper relates to research on CEO turnover and corporate change. Jenter and Kanaan (2015) show that boards dismiss CEOs in response to industry-and market-wide performance shocks outside the executive's control, indicating that turnover is partly exogenous to the CEO's own decisions. Pan et al. (2016) document CEO investment cycles, in which new CEOs tend to divest assets early in their tenure and pursue acquisitions later. We document a related pattern for headquarters relocations: relocation propensity rises following CEO turnover and peaks early in the new CEO's tenure, especially after exogenous leadership changes. This evidence suggests that leadership transitions prompt firms to reassess major organizational choices, including the location of headquarters.

3. Data and Sample Construction

Our analysis combines data on firms, executives and their families, headquarters locations, employees, and local economic conditions. Firm financial information comes from Compustat and stock returns from CRSP. CEO identities and turnover histories come from BoardEx and ExecuComp, supplemented with CEO identities collected from SEC filings. Headquarters

addresses and corporate filings come from SEC EDGAR, while CEO and family demographics, residential histories, and geographic origins come from LexisNexis SmartLinx Person Reports. We use SDC Platinum to identify mergers and acquisitions that could mechanically alter a firm's reported headquarters address.

Employee-level employment histories come from Revelio Labs, which compiles information from LinkedIn profiles; employee assessments of their firms come from Glassdoor; and establishment locations and employment counts come from Data Axle. State subsidies received by firms come from the Good Jobs First Subsidy Tracker, and state boundaries used for geographic assignment come from U.S. Census cartographic boundary files.[2]

3.1 Relocations

We construct our sample of headquarters relocations in five steps. First, we begin with firms appearing in the merged CRSP–Compustat database at any point between 1995 and 2025. Second, for each CIK, we collect the historical sequence of business and mailing addresses reported in the header information of annual filings on SEC EDGAR. We separately identify the principal executive office address reported in the body of each filing using regular expressions. Using multiple address fields helps distinguish genuine headquarters changes from changes in mailing addresses, registered agents, or reporting conventions.

Third, we classify any address change of at least 50 miles as a candidate headquarters relocation. Fourth, we exclude candidate events that coincide with a merger, reverse merger, bankruptcy, spin-off, or sale of a business, because these transactions can mechanically change the reported headquarters location without representing a discretionary decision to relocate the existing firm. Finally, we manually verify the remaining candidate events against contemporaneous corporate press releases, SEC filings, and news coverage. This review confirms

[2] https://subsidytracker.goodjobsfirst.org/

both that a headquarters relocation actually occurred and the effective year of the move, while eliminating address changes that do not represent an economic relocation of headquarters.

The sample-construction procedure begins with 4,779 candidate address changes that satisfy our initial geographic criterion and are subjected to manual review. After eliminating clerical changes and events confounded by mergers, bankruptcies, and other transactions, we identify 992 confirmed headquarters relocations, including 922 domestic moves and 70 relocations involving an international origin or destination. Of these, 866 can be matched to firms with non-missing CRSP and Compustat information in the relocation year and form the main relocation sample used in analyses requiring firm financial data. The remaining confirmed relocations are lost primarily because SEC EDGAR coverage extends beyond the CRSP–Compustat universe: some firms file with the SEC because they have publicly registered debt or a sufficiently broad shareholder base even though they are not listed on a major U.S. exchange and therefore lack contemporaneous CRSP–Compustat coverage.

3.2 CEO and Family Data

We match each firm in the relocation sample, as well as the control sample of non-relocating firms, to its CEO history. CEO names come from BoardEx and ExecuComp when available. For firms outside the coverage of these databases, we supplement the data with CEO names hand-collected from SEC filings from three years before the event or pseudo-event year through the event year, using large-language-model-assisted extraction followed by manual verification.

For each CEO, we obtain a LexisNexis SmartLinx Person Report. Each report identifies the individual using a LexisNexis identifier, partial Social Security Number, date of birth, and gender, and provides current and historical residential addresses with date ranges, real-property holdings with purchase dates and prices, voter registrations, business affiliations, and identified relatives classified by degree of kinship. To assemble the CEO's immediate family, we extract first-degree

relatives from the CEO's report, including spouses, parents, children, and siblings, and obtain a separate LexisNexis report for each individual. These supplementary reports provide residential address histories for the CEO's immediate family members. We use these date-stamped address histories to construct an annual panel linking each CEO to the primary residential locations of immediate family members.

3.3 Additional Data

We obtain employee-level data from Revelio Labs and match Revelio firm identifiers to relocating and non-relocating firms by name. We measure firms' operational footprints using Data Axle establishment-level records, including establishment locations and employment counts. Because firm names in Data Axle are less standardized than in Revelio, we match these records by firm name and manually verify the resulting links. We obtain state subsidies received by relocating firms from the Good Jobs First Subsidy Tracker. To measure stock-price reactions to relocation announcements, we construct event windows around announcement dates identified from press releases and news coverage, excluding events confounded by another major firm-level news.

3.4 Summary Statistics

Table 1 reports summary statistics for the firm-year, relocation-level, and CEO-level samples used in the analysis. All variables are defined in Appendix A. Panel A reports the 93,820 firm-year observations in the CRSP–Compustat panel that underlies the determinants regressions. The unconditional probability of relocation in this sample is 0.7 percent per firm-year, compared with 0.53 percent in the full CRSP–Compustat universe and 0.62 percent in the CEO-augmented sample. The financial characteristics of the panel are typical of the CRSP–Compustat universe: median ROA is 2.2 percent, with a left tail extending to −25.8 percent at the tenth percentile; median market-to-book is 1.85; median log total assets is 6.26, corresponding to roughly $520

million in book assets; and the median firm has been listed for 14 years. Institutional investors hold a median of 54 percent of shares outstanding, and the institutional-ownership Herfindahl index averages 0.16. The text-based talent-concerns measure, defined as the share of sentences in the firm's annual 10-K that jointly mention talent and competition, averages 0.19 percent.

The CEO turnover indicators are defined on a smaller subsample of 41,327 firm-years, restricted to observations for which we identify the CEO and observe the relevant turnover window. Any CEO turnover occurs in 20.6 percent of firm-years in this subsample, and exogenous turnover, attributable to death, illness, age-based retirement, or personal reasons, occurs in 9.0 percent.

Panel B reports relocation-level characteristics. Sample sizes vary across variables because the underlying measures come from different data sources and not every relocation can be matched to each source. The median relocation distance is 846 miles, with an interquartile range of 329 to 1,537 miles. In the year before the relocation, the CEO's nearest adult child resides a median of 247 miles from the eventual new headquarters, compared with 426 miles from the old headquarters. Correspondingly, 40 percent of relocations place the new headquarters within 100 miles of the CEO's nearest adult child, compared with 30 percent for the old headquarters. The mean relocation abnormal announcement return is approximately zero across the alternative factor-model benchmarks. Origin-state employee departures average 2.8 percent per year and 4.9 percent of observed departures are followed by employment with another firm in the origin state.

Panel C describes the CEOs for whom we construct detailed family information around headquarters relocations. We identify CEOs over years -3 through 0 relative to the relocation effective year for 894 relocation events, yielding 1,340 CEO observations. The average CEO was born in 1954, and 3.8 percent are female. CEOs have an average of 2.6 identified children and 0.6

identified grandchildren and own an average of 2.3 real-estate properties; 10.4 percent are recorded as deceased by the end of 2025.

4. Descriptive Evidence on Relocations

Before turning to the regression analysis, we describe the basic patterns in the relocation data: when relocations occur, how far firms move, where they go, and what kinds of firms relocate. Figure 1 plots the time-series of relocations in our sample. Panel A shows the annual count, which grows from a handful in the early 1990s to a stable run rate of roughly 25 to 40 per year through the 2000s and 2010s, with the largest single-year count of 59 relocations occurring in 2021. Panel B decomposes the annual count into domestic relocations, in which both the origin and destination are in the United States, and international relocations, in which either is outside the United States. International relocations are a small share of the total throughout the sample, and the empirical analysis that follows concentrates on the domestic moves.

Figure 2 characterizes the geographic scope of these moves. Panel A reports the distribution of relocation distances. The distribution is right-skewed: about half of all relocations cover fewer than 800 miles, while the remaining half spread along a long tail extending past 2,500 miles. The range reflects substantial heterogeneity in what a relocation entails, from moves between adjacent metropolitan areas to coast-to-coast moves. Panel B splits the annual count into cross-state and within-state relocations. Cross-state moves dominate throughout the sample, accounting for roughly four out of every five relocations in most years.

Figure 3 reports the industry composition of relocators using the Fama-French 30 industry classification. Business services account for the largest single category, with 118 relocations, followed by healthcare, pharmaceuticals, and medical equipment (102), finance and real estate (98), and the residual "Other" category (95). Business equipment, oil and gas, machinery, and wholesale follow. Every Fama-French 30 industry has at least one relocation in the sample, and

the top four industries together account for less than half of total moves.

Figure 4 characterizes the size of relocators relative to other firms in the same industry and year. Panel A plots the distribution of relocators' log book assets net of the industry-year median across the CRSP and Compustat universe, with a fitted normal density overlaid for reference. The distribution is approximately bell-shaped and centered slightly below zero, indicating that relocators are roughly representative of the size distribution of public firms in their industries, with a modest tilt toward smaller firms. Panel B reports the share of relocations falling in each industry-year size decile of book assets. The smallest decile is overrepresented at 15.1 percent of relocations, the share generally declines across deciles, and the largest decile accounts for 8.2 percent. Relocations occur across the entire size distribution but are somewhat more common among smaller firms within an industry-year cell.

These patterns frame the regression analysis that follows. Relocations often involve long-distance moves, are concentrated in service-oriented industries, and span the firm-size distribution. The next section examines which firm-level characteristics predict which firms relocate, and the role of CEO turnover in the timing of these moves.

5. Empirical Findings

5.1 Determinants of Headquarters Relocation

We begin by examining the firm-level conditions under which headquarters relocations occur. This analysis serves two related purposes. First, it establishes whether relocations are largely routine administrative events or instead arise when firms are undergoing broader organizational change. Second, and more important for our subsequent analysis, it asks whether CEO transitions constitute a distinct trigger for reconsidering headquarters location. If relocation decisions are reopened when leadership changes, the preferences of the incoming CEO may have greater scope to influence not only whether the firm moves, but also where it goes.

The dependent variable in the analyses is an indicator equal to one if firm *i* relocates its headquarters in year *t*. The regressions include a broad set of lagged firm characteristics capturing operating performance and financial condition, firm size and investment, ownership structure, and labor-market concerns. The first group includes ROA, stock returns, return volatility, the Altman Z-score, leverage, cash holdings, and market-to-book. The second includes total assets, capital expenditures, sales growth, R&D, employees relative to assets, and firm age. We also control for institutional ownership and the concentration of institutional holdings.

Finally, we include a text-based measure of the firm's concerns about competition for skilled labor, constructed from its annual 10-K following Chen et al. (2023). The measure captures the share of sentences that jointly discuss talent and competition for workers. This control is useful because access to human capital is a natural economic rationale for headquarters relocation. If firms relocate primarily in response to difficulty attracting or retaining workers, such concerns should predict subsequent moves.

The most saturated specifications include incumbent-state-by-year and Fama-French-30-industry-by-year fixed effects. The former absorb time-varying economic, regulatory, and other conditions in the state from which the firm might relocate, while the latter absorb shocks common to firms in the same industry and year. We estimate both linear probability and Poisson pseudo-maximum-likelihood (PPML) models and cluster standard errors at the firm level.

Table 2 shows that headquarters relocations are systematically associated with firms undergoing economic and organizational pressure. Three patterns are particularly robust. First, firms with weaker operating performance and greater financial distress are more likely to relocate: ROA and the Altman Z-score enter negatively and significantly in the most saturated specifications. Second, relocation probability is higher among firms facing greater uncertainty, as reflected in the positive coefficient on lagged return volatility. Third, relocating firms tend to be

less investment intensive: R&D intensity is negatively related to relocation, and capital expenditures enter negatively once industry-by-year fixed effects are included. By contrast, firm size, leverage, growth opportunities, ownership concentration, and the textual measure of talent concerns are not systematically associated with relocation in the saturated specifications.

The economic magnitudes are substantial. In the most saturated PPML specification, a one-standard-deviation increase in ROA is associated with a 27.9 percent reduction in the conditional relocation rate, while a one-standard-deviation increase in the Altman Z-score is associated with a 22.8 percent reduction. A one-standard-deviation increase in return volatility, by contrast, is associated with a 23.5 percent increase. These results indicate that headquarters moves are not random administrative events; they disproportionately occur when firms are under pressure or undergoing broader organizational reassessment. At the same time, the absence of a significant relation with the talent-concerns measure provides little evidence that relocation is systematically preceded by firms publicly identifying competition for skilled labor as a salient problem.

We next ask whether a change in the identity of the chief executive provides an additional and economically distinct trigger for relocation. Table 3 augments the saturated specification with indicators for CEO turnover during years *t-3* through *t-1*. We consider both any CEO turnover and the subset of turnovers classified as exogenous to firm performance, including transitions associated with death, illness, age-based retirement, or personal reasons. The distinction is important. Ordinary CEO turnover can itself result from poor performance or a board-led restructuring, making it difficult to separate the effect of the leadership change from the economic conditions that produced it. Exogenous turnovers provide a cleaner setting because the leadership transition is more plausibly orthogonal to contemporaneous firm performance and the firm's pre-existing strategic circumstances.

CEO turnover is a striking predictor of relocation. In the linear probability specifications,

any CEO turnover during the preceding three years is associated with a 0.7-percentage-point increase in the annual probability of relocation. Relative to the unconditional relocation probability of 0.62 percent in the CEO-augmented sample, this represents an increase of approximately 113 percent. The corresponding estimate for exogenous CEO turnover is 1.4 percentage points, or approximately 226 percent of the unconditional relocation rate.

The PPML specifications yield similarly large effects. The estimated coefficient for any CEO turnover implies that the conditional relocation rate is approximately 2.6 times that of firm-years without a recent turnover, while the estimate for exogenous turnover implies a rate nearly 4.9 times as large. Thus, among the organizational characteristics we examine, the arrival of a new CEO stands out as an especially strong predictor of headquarters relocation.

The larger effect following exogenous turnovers is particularly noteworthy. If the association between CEO turnover and relocation simply reflected poor firm performance, restructuring, or boards jointly selecting a new CEO and a previously planned relocation, one would expect the relationship to weaken when leadership changes arise for reasons unrelated to those conditions. Instead, the association becomes stronger. This pattern is more consistent with the leadership transition itself creating an opportunity to relocate.

Table 4 studies the relationship between CEO turnovers and headquarters relocations by conditioning on realized relocations. Among relocations for which we identify the CEO over the relevant window, 24.0 percent coincide with a CEO turnover in the relocation effective year, 20.0 percent are preceded by a turnover one year earlier, and 13.4 percent by a turnover two years earlier. Overall, 49.4 percent of headquarters relocations are preceded by or coincide with a CEO turnover during years -2 through 0. Exogenous turnovers are less common but still economically meaningful: 11.7 percent of relocations occur within this window following a leadership transition attributable to death, illness, age-based retirement, or personal reasons.

Tables 3 and 4 document the CEO-turnover relation from two complementary perspectives.

Table 3 shows that, relative to otherwise comparable firm-years, the probability of relocation rises sharply following CEO turnover, particularly following exogenous leadership changes. Table 4 shows that leadership transitions are correspondingly common among firms that actually relocate: roughly one-half of headquarters moves occur within the turnover window.

Taken together, the evidence in this subsection establishes two findings. First, headquarters relocations disproportionately occur among firms facing weaker fundamentals, greater uncertainty, and lower investment intensity. Second, CEO turnover is an important predictor: relocation rates rise sharply after leadership changes, the association is stronger following turnovers plausibly unrelated to firm performance, and nearly half of realized relocations occur within the surrounding CEO-turnover window.

5.2 CEO Turnover and the Timing of Relocations

The preceding results establish a strong association between CEO turnover and subsequent headquarters relocation. We now examine the timing of that relationship. The dynamic evidence is important for two reasons. First, it provides a test of whether firms experiencing CEO turnover were already on a different relocation trajectory before the leadership change. Second, it identifies the window during which an incoming CEO is most likely to influence the headquarters decision.

We estimate event-study regressions over the three years before and after CEO turnover. The dependent variable remains the annual relocation indicator, and the year immediately preceding the CEO transition, $t=-1$, serves as the omitted benchmark. The specifications include the same lagged firm characteristics used in Table 2, together with incumbent-state-by-year and industry-by-year fixed effects, and standard errors are clustered at the firm level. We estimate the event study separately for all CEO turnovers and for the subset classified as exogenous to firm performance. Figure 5 plots the event-time coefficients and 95 percent confidence intervals.

Panel A considers all CEO turnovers. The coefficients in years -3 and -2 are economically

small and statistically indistinguishable from zero. Thus, firms that subsequently experience a leadership transition show no detectable increase in relocation propensity before the turnover. The pattern changes sharply once the new CEO arrives. Relocation probability increases in the turnover year, peaks in year +1 at approximately 0.7 percentage points above the pre-turnover baseline, and remains positive and statistically significant through year +2. By year +3, the increase has disappeared and the estimated coefficient becomes negative. One interpretation is a depletion effect: among firms for which the leadership transition prompts a headquarters move, most relocations have already occurred during the first several years of the new CEO's tenure, leaving a residual set of firms with a comparatively low subsequent relocation propensity.

Panel B provides restricts the sample to exogenous CEO turnovers. These transitions are useful because they are more plausibly unrelated to contemporaneous deterioration in firm performance, restructuring needs, or other economic conditions that could independently generate a relocation. The pre-turnover coefficients are again small and statistically indistinguishable from zero. After the leadership change, however, relocation probability rises sharply. The effect peaks at approximately 1.1 percentage points in year +1, remains of similar magnitude in year +2, and returns toward zero by year +3. The coefficients in years 0, +1, and +2 are statistically significant at conventional levels.

Because these leadership changes occur for reasons plausibly orthogonal to contemporaneous firm and economic conditions, the sharp break in relocation propensity after, but not before, the transition is difficult to attribute solely to a gradual deterioration in fundamentals or to an organizational change already underway. Instead, the evidence suggests that the arrival of a new CEO itself creates a discrete window in which the firm's headquarters location becomes more likely to be reconsidered.

Overall, the timing evidence complements the cross-sectional results in Table 3. CEO turnover does not merely identify firms with persistently higher relocation propensities; it marks a

relatively concentrated period in which headquarters location becomes an active organizational choice. The effect is strongest following leadership changes that are plausibly exogenous to firm performance, further separating the CEO transition from the economic conditions that might otherwise explain the move.

This distinction motivates the next step of the analysis. Establishing that a new CEO helps reopen the headquarters decision does not tell us which destination the firm selects. If the identity of the CEO matters for the decision to reconsider headquarters location, however, CEO-specific preferences may also influence the choice among alternative destinations. We therefore turn next to the residential geography of the CEO's immediate family and ask whether, once the headquarters decision is reopened, firms systematically move toward locations that provide personal benefits to the executive.

5.3 Headquarters Destination Choice and CEO Family Geography

The previous subsections show that the strongest organizational predictor of a headquarters relocation is the arrival of a new CEO. We now turn from the decision to relocate to the choice of destination and ask whether CEOs' personal geography helps shape where firms move. Our focus is the residential location of the CEO's adult children. If proximity to immediate family enters the CEO's preferences over headquarters locations, then, among otherwise plausible destinations, firms should be disproportionately likely to relocate toward places where the CEO's children already live. This family-proximity hypothesis yields a simple prediction: the firm's chosen destination should be closer to the CEO's children than both its pre-relocation headquarters and other economically plausible destinations.

We measure the residential addresses of CEOs' adult children in the year before the relocation effective year, t-1. This timing is important for interpretation. Because the children's locations are observed before the headquarters relocation occurs, the results cannot be explained

by children moving toward the firm after its new location has been chosen and implemented. Thus, any association between the destination at t and children's locations at t-1 reflects the firm moving toward pre-existing family geography rather than family geography mechanically adjusting to the completed relocation. This timing alone does not rule out all common determinants of family and corporate location choices (a possibility we address below) but it eliminates the most direct form of reverse causality. The location of the CEO's nearest adult child therefore provides a natural measure with which to test whether personal considerations enter the firm's destination choice.

We begin with descriptive evidence. Figure 6 reports the median geodesic distance, in miles, between the firm's headquarters and the residence of the CEO's nearest adult child, measured in t-1. Panel A considers relocations not preceded by a CEO turnover. The median distance between the incumbent CEO's nearest child and the new headquarters is 221 miles, compared with 378 miles for the old headquarters. Thus, even when the CEO remains in place, relocating firms tend to move substantially closer to the incumbent CEO's family.

Panel B examines relocations preceded by a CEO turnover during years t-3 through t-1 and separately measures proximity to the incoming and outgoing CEOs' families. If family geography matters for destination choice, a leadership transition should alter which family geography predicts the firm's destination: the new headquarters should move toward the incoming CEO's family and away from the outgoing CEO's family. This is precisely the pattern in the data. The incoming CEO's nearest child is 612 miles from the old headquarters but only 291 miles from the new headquarters. In contrast, the outgoing CEO's nearest child is 208 miles from the old headquarters and 642 miles from the new headquarters. The relocation therefore cuts the distance to the incoming CEO's family by roughly one-half while increasing the distance to the outgoing CEO's family by roughly a factor of three. Importantly, the relevant family geography appears to switch when control of the firm switches from one CEO to another.

Panel C restricts the analysis to relocations preceded by exogenous CEO turnovers. The same pattern persists in this cleaner subsample: the incoming CEO's nearest child is 530 miles from the old headquarters and 243 miles from the new headquarters. The evidence is therefore difficult to reconcile with a purely firm-specific tendency to relocate toward particular regions. Instead, the destination systematically becomes more aligned with the geography of the executive who assumes control before the move.

These distance comparisons, however, do not by themselves establish that family proximity independently shapes destination choice. One alternative explanation is that firms relocate toward economically attractive locations in their industry and that CEOs' children happen to live in those same locations. For example, both corporate headquarters and highly educated adult children may disproportionately locate in large and growing industry centers. Under this explanation, proximity to the CEO's children would be incidental: the firm would have selected the same destination even in the absence of the family connection.

Figure 7 evaluates this alternative by comparing the actual relocation destination with a set of economically plausible counterfactual destinations determined by industry agglomeration. Specifically, we identify the top five geographic clusters of firms in the relocating firm's Fama-French 30 industry, defined using a 100-mile grid in relocation year t-1. These locations represent places to which a firm in the same industry might plausibly relocate even absent any family considerations. Constructing this benchmark requires the relocating firm to have a CRSP+Compustat match in t-1, yielding 488 relocations with both CEO family geography and a CRSP+Compustat match.

The family-proximity hypothesis makes a stronger prediction than simply requiring the actual destination to be near the CEO's children: the actual destination should be systematically closer to the children than these industry-based alternatives. Figure 7 supports this prediction. Panel A reports the median minimum distance from the CEO's nearest child to the actual

destination and to the alternative industry clusters. The median distance is 247 miles for the actual destination, compared with 848 miles for the typical alternative, more than a three-fold difference.

Panel B reports the corresponding extensive-margin comparison. Forty percent of actual destinations are located within 100 miles of the CEO's nearest child, compared with only 12 percent of the alternative industry clusters. Panel C plots the kernel density of the log minimum distance. The distribution for actual destinations displays a pronounced concentration at distances of approximately five to twenty miles, a feature that is essentially absent from the distribution of industry-based alternatives. Thus, actual destinations are not merely located in regions where CEOs' children could plausibly be expected to live; they are unusually close to the CEO's family even relative to locations that are attractive to firms in the same industry.

We next formalize this comparison in a conditional logit destination-choice model. For each relocation event, the choice set consists of the actual destination and five pseudo-destinations corresponding to the top five industry-year clusters. The dependent variable indicates which candidate location is actually selected. The key independent variable is the log of one plus the geodesic distance, in miles, between each candidate destination and the residence of the CEO's nearest child in t-1. The family-proximity hypothesis predicts a negative coefficient: conditional on the set of economically plausible industry locations, destinations farther from the CEO's family should be less likely to be chosen. We estimate the model by maximum likelihood, conditioning on the relocation event, and cluster standard errors at the firm level. Identification therefore comes from comparisons among alternative destinations for the same relocation rather than from cross-firm differences in CEOs, industries, or firms' general propensity to relocate.

Table 5 reports the estimates. Consistent with the hypothesis, the coefficient on log distance to the nearest child is negative and statistically significant at the one-percent level under all three grid sizes used to construct the industry clusters. The coefficients are -0.429, -0.462, and -0.450

for grids of 50, 100, and 150 miles, respectively. The stability of the estimates across alternative definitions of industry geography indicates that the result is not driven by a particular choice of grid size. Economically, the estimates imply that doubling the distance from a candidate destination to the CEO's nearest child lowers the odds that the destination is chosen by approximately 25 to 27 percent, holding fixed the event-specific set of industry-based alternatives. The pseudo-R^2 values of 0.14 to 0.16 further indicate that family proximity has meaningful explanatory power for destination choice within these economically plausible choice sets.

Table 6 asks whether this relationship is particularly evident when the CEO who ultimately presides over the relocation has recently entered the firm. Panel A restricts the sample to relocations preceded by any CEO turnover, while Panel B focuses on the subset preceded by an exogenous turnover. In both panels, the estimated coefficient on distance to the incoming CEO's nearest child remains negative, similar in magnitude to the full-sample estimate, and statistically significant at the one-percent level in every specification. If anything, the relationship strengthens in the exogenous-turnover sample. In the 100-mile-grid specification, for example, the coefficient is -0.566, compared with -0.462 in the corresponding full-sample specification in Table 5. This pattern is important because endogenous CEO transitions could arise precisely when firms are already contemplating major strategic or geographic changes. The persistence and modest strengthening of the result following more plausibly exogenous leadership changes makes it less likely that the observed association simply reflects firms jointly selecting a particular CEO and a predetermined relocation destination.

Taken together, Figures 6 and 7 and Tables 5 and 6 establish three facts. First, relocating firms move closer to the incumbent CEO's family, and following leadership transitions the relevant geography shifts from that of the outgoing CEO to that of the incoming CEO. Second, the chosen destination is substantially closer to the CEO's family than are plausible alternative locations defined by the firm's industry geography. Third, proximity to the CEO's family strongly

predicts destination choice within an event-specific choice set, including following exogenous CEO transitions. These patterns are consistent with CEOs' personal family considerations influencing where relocating firms choose to locate.

Measuring children's addresses in t-1 rules out children relocating in response to the completed headquarters move, but family geography itself need not be randomly assigned. Persistent family ties to particular regions (e.g., where the CEO previously lived, worked, or raised a family) could affect both where the CEO's adult children settle and where the firm subsequently chooses to locate. In that case, the conditional-logit estimates would capture a common underlying attachment to a region rather than a causal effect of the children's location itself. The next subsection addresses this concern using an instrumental-variables strategy that isolates plausibly exogenous variation in the geographic location of the CEO's children.

5.4 Exogenous Variation in CEO Family Geography

The preceding analyses narrow the set of alternative explanations for the relation between CEO family geography and headquarters destination. Measuring children's locations before the relocation rules out children moving in response to the completed headquarters move; benchmarking the chosen destination against industry clusters addresses industry agglomeration; and the exogenous CEO-turnover tests show that when leadership changes for reasons plausibly orthogonal to contemporaneous firm and economic conditions, the relevant family geography shifts from that of the outgoing CEO to that of the incoming CEO. One concern still remains. Persistent ties to particular regions may influence both where the CEO's children ultimately settle and where the firm chooses to relocate. For example, a region in which the CEO previously lived could remain attractive both to the CEO's adult children and to the CEO when selecting a headquarters location. In that case, proximity to the children would proxy for the CEO's own pre-existing geographic attachment rather than capture an independent effect of the children's location.

To isolate variation in children's geography that is less directly connected to the CEO's

own geographic history, we exploit the geographic origins of the children's spouses. Adult children choose where to live jointly with their spouses, whose own family ties and geographic backgrounds can affect the couple's residential location. At the same time, the origin of a child's spouse is plausibly more removed from the CEO's own historical ties and from the firm's location preferences. We therefore instrument the log distance between each candidate destination and the CEO's nearest child with the log distance between that candidate destination and the geographic centroid of the home state of the child's spouse. Under the exclusion restriction, the spouse's geographic origin affects the attractiveness of a candidate headquarters location only through its effect on where the CEO's child lives. The family-proximity hypothesis then predicts that variation in children's locations induced by their spouses' geography should continue to predict the firm's destination choice.

We define the spouse's home state using the state associated with the area of issuance of the spouse's Social Security number. To further separate the instrument from the CEO's own geographic roots, we restrict the sample to cases in which the spouse's home state differs from the CEO's home state. We also include an indicator for whether a candidate destination lies in the spouse's home state. This control allows candidate locations in the spouse's state to differ systematically in attractiveness and ensures that identification does not come simply from firms disproportionately choosing the spouse's state itself. Instead, the instrument exploits variation in the distance of alternative destinations from an external source of family geography that helps predict where the CEO's child resides.

Because the conditional-logit framework does not readily accommodate an instrumental-variable specification, we implement the IV test using a linear probability model (LPM) on the same destination choice sets used above. For each relocation, the dependent variable equals one for the actual destination and zero for each of the five industry-based pseudo-destinations. We

include relocation-event fixed effects, so identification comes entirely from comparisons across candidate destinations within the same relocation event. We instrument the log distance from each candidate destination to the CEO's nearest child with the corresponding log distance to the centroid of the spouse's home state and cluster standard errors at the firm level.

Table 7 reports the results: Panel A presents the first-stage estimates and Panel B the second-stage IV estimates. The first stage is strong regardless of whether the industry clusters are defined using 50-, 100-, or 150-mile grids. The first-stage coefficient ranges from 0.75 to 0.83, implying that a 1 percent increase in a candidate destination's distance from the spouse's home-state centroid is associated with a 0.75 to 0.83 percent increase in its distance from the CEO's child. The Kleibergen-Paap (F)-statistic ranges from 47 to 71, indicating that weak-instrument concerns are unlikely to drive the second-stage results.

The second-stage estimates strongly support the family-proximity hypothesis. The coefficient on instrumented log distance to the CEO's nearest child is negative and statistically significant at the one-percent level in every specification, with estimates of -0.092, -0.093, and -0.098 for the 50-, 100-, and 150-mile grids, respectively. Thus, even when we isolate variation in the child's geography associated with the geographic background of the child's spouse, candidate destinations farther from the CEO's family are substantially less likely to be selected. The stability of the estimates across alternative definitions of the industry choice set parallels the robustness of the conditional-logit results in Table 5.

The IV-LPM coefficients and the conditional-logit coefficients are not directly comparable because the two models operate on different scales. A useful calibration nevertheless shows that their economic magnitudes are similar. In the 100-mile-grid specification, the conditional-logit coefficient of -0.462 implies a marginal effect of approximately -0.064 when evaluated at the choice-set probability of (1/6). The corresponding IV-LPM estimate is -0.093. Although these

quantities are not identical estimands, the comparison indicates that instrumenting family proximity does not attenuate the economic importance of the relationship. If anything, the IV estimate is modestly larger than the marginal effect implied by the conditional-logit specification.

We also control for whether a candidate destination lies in the spouse's home state, which helps address the possibility that the spouse's state of origin directly attracts the firm for reasons unrelated to the child's location. The coefficient on this indicator is positive but statistically insignificant. Thus, the IV results do not appear to be driven simply by firms being more likely to relocate to the spouse's home state itself. Instead, the identifying variation comes from the fact that the spouse's geographic origin helps predict where the CEO's child lives, and candidate destinations closer to that predicted family location are more likely to be chosen.

Taken together, the evidence in this section complements the earlier destination-choice tests and addresses their principal remaining identification concern. The descriptive evidence shows that firms move toward the incumbent CEO's family and, following CEO turnover, toward the incoming CEO's family rather than the outgoing CEO's. The industry-cluster comparisons show that actual destinations are substantially closer to the CEO's children than economically plausible alternatives. The conditional-logit estimates show that family proximity predicts which destination is selected within a relocation-specific choice set. Finally, the IV estimates show that the relationship persists when we isolate variation in children's geography associated with the geographic origins of their spouses rather than with the CEO's own geographic history. Under the exclusion restriction, this evidence supports a causal interpretation in which CEO family geography affects where relocating firms choose to locate.

Establishing that personal family considerations influence headquarters location does not, however, establish whether these choices benefit or harm shareholders or other stakeholders. We therefore next turn from why firms choose particular destinations to the consequences of those

choices. The following subsections examine four outcomes: announcement returns, employee separations, the firm's operational footprint at the new destination, and employee satisfaction, with particular attention to whether relocations more strongly associated with CEO family considerations differ systematically from other headquarters moves.

5.5 Relocation Outcomes and CEO Family Proximity

The preceding subsections establish that CEO family geography affects where relocating firms choose to locate. We now ask whether this personal influence on destination choice has consequences for the firm and its stakeholders. In principle, a headquarters location that brings the CEO closer to family need not be costly. Personal and corporate preferences may happen to point toward the same destination, or improvements in the CEO's utility could benefit the firm through greater effort and productivity. Under this efficient-alignment interpretation, relocations toward the CEO's family should perform no worse than otherwise comparable headquarters moves.

An alternative is that family considerations shift the firm away from the destination it would choose based solely on corporate considerations. Under this private-benefit or distortion hypothesis, the CEO receives a personal benefit from proximity to family while the firm bears some of the resulting adjustment or location costs. This interpretation generates several distinct predictions. First, investors should react less favorably to relocations that move headquarters close to the CEO's family. Second, such moves should impose greater adjustment costs on employees at the origin, leading to greater employee separation and a lower willingness to follow the firm. Third, the destination should be less well aligned with the firm's pre-existing operational geography. Finally, employees should view the move less favorably. These outcomes capture different margins of the same underlying tradeoff: market expectations about firm value, realized employee disruption, ex ante operational fit, and employees' assessments of leadership and culture.

To examine these predictions, we classify a relocation as family-proximate when the new headquarters is within 100 miles of the CEO's nearest adult child, whose residence is measured in *t-1*. We also use a stricter 50-mile threshold. These indicators should be interpreted as proxies for relocations in which family considerations are particularly likely to matter, rather than as direct measures of managerial intent. The tests below ask whether relocations exhibiting the family-proximity pattern have systematically different consequences from other moves.

5.5.1 Announcement Returns

We begin with the stock market's reaction to the relocation announcement. If proximity to the CEO's family is incidental to an otherwise value-enhancing location decision, there is no reason to expect a systematically different market reaction. In contrast, if family considerations distort destination choice, investors should react less favorably to relocations that place the new headquarters close to the CEO's family.

We hand-collect the announcement date for each relocation from corporate press releases and news coverage and exclude announcements accompanied by confounding firm-level news. For each remaining relocation, we calculate the cumulative abnormal return on the announcement day using three benchmarks: the CAPM, the Fama-French three-factor model, and the Fama-French model augmented with momentum.

We regress announcement returns on the family-proximity indicator and a set of controls designed to distinguish proximity created by the relocation from geographic ties that existed beforehand. In particular, we control for the log distance between the CEO's nearest child and the old headquarters and include a corresponding indicator for whether the old headquarters was itself within the relevant distance threshold of the child. Thus, the coefficient on new-headquarters proximity captures the market reaction to the firm moving into proximity with the CEO's family, conditional on its pre-existing family geography. Additional controls include log relocation

distance, log cumulative state subsidies received from the destination state during years 0 through 3, an indicator for relocation to the CEO's home state, CEO-turnover indicators, lagged firm characteristics, and industry and year fixed effects. We restrict the analysis to moves exceeding 200 miles so that proximity of the old and new headquarters represents economically distinct geographic relationships. Standard errors are double-clustered by firm and destination state.

Table 8 reports the estimates. The coefficient on the 100-mile family-proximity indicator is -0.012 under the CAPM benchmark, -0.011 using the Fama-French three-factor model, and -0.013 using the four-factor model. All three estimates are statistically significant at the five-percent level. Thus, relocations that place the new headquarters within 100 miles of the CEO's nearest child experience announcement-day abnormal returns approximately 1.1 to 1.3 percentage points lower than relocations to destinations farther from the CEO's family.

The 50-mile indicator produces the same pattern. Its coefficient is negative under all three return benchmarks and statistically significant at the five-percent level under the four-factor model and at the ten-percent level under the CAPM and Fama-French three-factor models. Importantly, the corresponding indicators for proximity of the old headquarters to the CEO's family are statistically indistinguishable from zero in every specification. The negative market reaction is therefore associated with the relocation creating proximity to the CEO's family, rather than with CEOs whose firms were already located near their children.

The economic magnitude is substantial. The unconditional mean announcement-day abnormal return in the sample is 0.32 percent and is statistically indistinguishable from zero, with a standard deviation of 3.3 percent. The differential of roughly one percentage point or more associated with a family-proximate relocation is therefore large relative to the typical market reaction to a headquarters move. Log relocation distance also enters negatively and significantly, consistent with investors viewing longer-distance moves as more costly. By contrast, subsidies,

moves to the CEO's home state, and CEO-turnover indicators are not statistically significant.

These estimates show that investors react systematically less favorably when the chosen destination places the firm close to the CEO's family, conditional on the firm's prior family geography and other characteristics of the move. Combined with the destination-choice evidence above, this pattern is consistent with investors perceiving a tradeoff between the CEO's private geographic preferences and shareholder value.

5.5.2 Employee Separation

We next examine a distinct potential cost of headquarters relocation: disruption to the incumbent workforce. A long-distance headquarters move requires some employees to relocate or leave the firm. If family considerations pull the headquarters toward a destination that is less attractive or less convenient from the standpoint of the incumbent workforce, family-proximate moves should generate greater employee separation. Moreover, if these departures reflect employees choosing not to follow the firm geographically, departing workers should be particularly likely to remain in the origin state.

We construct a firm-by-origin-state-by-year panel using employment histories from Revelio Labs, which aggregates information from LinkedIn profiles. We examine two outcomes. The first is the separation rate, defined as the number of employees leaving the firm from the origin state in a given year divided by the firm's total LinkedIn-matched employment. This measure captures whether the relocation is followed by increased employee departures from the location being left behind. The second is the same-state separation rate, which measures, among employees who leave the firm from the origin state, the share whose next observed job is also located in that state. This outcome helps distinguish general employee turnover from a more specific unwillingness to relocate with the firm: employees who leave the firm but remain geographically close to the old headquarters appear to choose the local labor market over following the employer

to its new headquarters.

As above, we restrict the sample to relocations exceeding 200 miles. We further require at least 25 LinkedIn-matched employees in the origin state in year -2 and at least 500 matched employees firm-wide. Because remaining in the origin state is meaningful only when the firm moves across state boundaries, the same-state separation analysis is restricted to interstate relocations.

We estimate event-study specifications in which indicators for years -2, 0, +1, and +2, relative to year -1, are interacted with the family-proximity indicator. Relocation-event fixed effects absorb all time-invariant characteristics of the move, including the level of family proximity itself, while year fixed effects absorb common shocks. The regressions also include lagged firm characteristics. Standard errors are clustered at the relocation-event level. The interaction coefficients therefore measure whether the evolution of employee separation around the relocation differs between family-proximate and other moves.

Table 9 reports the results. In columns 1 and 2, the post-relocation interaction coefficients for the separation rate are positive and increase over time. At both the 100- and 50-mile thresholds, the year +1 interaction is approximately 0.011 and statistically significant at the ten-percent level, while the year +2 interaction is approximately 0.014 and significant at the five-percent level. Thus, one to two years after the move, family-proximate relocations are associated with origin-state separation rates approximately 1.1 to 1.4 percentage points higher than other relocations.

These effects are economically large. The unconditional annual separation rate from the origin state in the sample is 2.8 percent, so the year +2 differential of approximately 1.4 percentage points represents an increase of roughly 50 percent relative to that baseline. Importantly, the interaction coefficient in year -2 is statistically indistinguishable from zero. Although a single pre-period cannot rule out all differential trends, the absence of a pre-relocation difference provides

no evidence that employee separation was already rising disproportionately at family-proximate firms before the move.

Columns 3 and 4 provide additional evidence on the mechanism. By year +2, employees who separate following family-proximate relocations are approximately 4 to 5 percentage points more likely to take their next observed job in the origin state, with estimates statistically significant at the five-percent level. The unconditional same-state separation rate is 4.9 percent, making the differential large relative to the sample mean. Thus, the additional separations are not simply workers leaving the firm and moving elsewhere with the geographic reallocation of economic activity. Instead, departing employees disproportionately remain in the labor market surrounding the old headquarters.

The two outcomes together are informative. Family-proximate relocations are followed both by more departures from the incumbent workforce and by a greater tendency for those departing workers to remain behind geographically. This pattern is consistent with the relocation imposing adjustment costs on origin-state employees and with some workers preferring to leave the firm rather than follow it to a destination shaped by the CEO's family geography.

5.5.3 Operational Footprint

The employee-separation evidence captures adjustment costs realized after the relocation. We next examine whether the destination was already less well aligned with the firm's operations before the move occurred. This provides a meaningful test of the distortion hypothesis because the outcome is predetermined with respect to the relocation itself.

Using establishment-level data from Data Axle, we calculate, for each relocation, the share of the firm's employees located within 100 miles of the new headquarters in the year before the move. This measure captures the extent to which the chosen destination is already integrated with the firm's operating footprint. Locating headquarters near a substantial concentration of existing

employees can facilitate coordination and monitoring. By contrast, relocating headquarters to a location where the firm has little pre-existing activity can separate management from the firm's established workforce, imposing higher coordination and monitoring costs. A lower pre-relocation employment share around the destination therefore captures a potentially costly mismatch between the new headquarters and the firm's organizational footprint. The distortion hypothesis therefore predicts a lower pre-relocation operational footprint around the new headquarters for family-proximate moves.

We regress the pre-relocation employment share around the new headquarters on the family-proximity indicator and control for the corresponding old-headquarters proximity indicator, log distance from the CEO's nearest child to the old headquarters, log relocation distance, lagged firm characteristics, CEO-turnover indicators, and the firm's pre-relocation share of employees located within 100 miles of the old headquarters. We also include industry and year fixed effects and cluster standard errors at the firm level. As in the preceding analyses, we restrict the sample to relocations exceeding 200 miles.

Table 10 reports the estimates. The coefficient on the 100-mile family-proximity indicator is -0.061, statistically significant at the five-percent level. At the 50-mile threshold, the coefficient is -0.045, significant at the ten-percent level. Thus, before the relocation occurs, firms undertaking family-proximate moves have approximately 4.5 to 6.1 percentage points less of their workforce located near the eventual headquarters destination than firms moving to destinations farther from the CEO's family.

The corresponding indicators for proximity of the old headquarters to the CEO's family are statistically insignificant, again indicating that the result is associated with the geographic alignment created by the relocation rather than with pre-existing family proximity. The pre-relocation employment share surrounding the old headquarters enters negatively, as expected: firms whose operations are heavily concentrated around the old headquarters mechanically have

less scope to have the same employees concentrated around a distant new headquarters. Crucially, the coefficient on family proximity captures an additional shortfall after accounting for this relationship.

This evidence strengthens the interpretation of the earlier results in two ways. First, because the operational-footprint measure is taken before the move, the finding cannot be attributed to employees leaving the destination area in response to the relocation. Second, it identifies a specific dimension along which family-proximate destinations differ ex ante: they are less connected to the firm's existing workforce. The headquarters therefore appears to move toward the CEO's family even when doing so means moving away from the firm's established operational center of gravity.

5.5.4 Employee Satisfaction

Finally, we examine how employees perceive the firm around the relocation. If family-proximate moves are viewed internally as serving managerial preferences at the expense of the organization or its workforce, their effects may extend beyond observable employee departures. Such relocations may also alter employees' assessments of management, organizational culture, and the firm more generally. This channel is particularly relevant to the private-benefit interpretation because dissatisfaction should be especially pronounced for ratings that speak directly to leadership and organizational values.

We use employee reviews from Glassdoor and examine three measures reported on the standard one-to-five scale: the reviewer's overall rating of the firm, the rating of senior leadership, and the rating of culture and values. We restrict the sample to reviews submitted by employees located in the relocation's origin state from two years before through two years after the effective year.

We estimate event-study regressions analogous to those used for employee separation. Indicators for years -2, 0, +1, and +2, with year -1 omitted, are interacted with the family-proximity

indicator. The regressions include lagged firm characteristics, reviewer characteristics, including indicators for currently employed and full-time status and the reviewer's tenure, relocation-event fixed effects, and year fixed effects. Standard errors are clustered at the relocation-event level. The interaction coefficients therefore capture changes in employee sentiment around family-proximate moves relative to the contemporaneous changes surrounding other relocations.

Table 11 reports the estimates. At the 100-mile threshold, the interaction between family proximity and the relocation-year indicator is negative for all three rating dimensions. The coefficient is -0.587 for the overall rating, -0.902 for senior leadership, and -0.763 for culture and values. The first two estimates are statistically significant at the five-percent level, and the culture-and-values estimate is significant at the one-percent level. On a five-point scale, these effects are economically large: in the relocation year, origin-state employees rate the firm approximately 0.6 stars lower overall, 0.9 stars lower on senior leadership, and 0.8 stars lower on culture and values around family-proximate relocations than around other moves.

The pattern across rating categories is noteworthy. The largest effects are not confined to employees' generic assessment of the firm; they appear prominently in senior leadership and culture and values, the dimensions most closely connected to perceptions of managerial decision-making. Moreover, the uninteracted relocation-year indicator is positive and statistically significant for all three rating measures. In other words, employee ratings tend to improve around relocations that do not bring the headquarters close to the CEO's family, whereas that pattern reverses for family-proximate moves. This contrast is difficult to reconcile with the view that the negative coefficients merely capture generic disruption associated with moving headquarters.

Individual Glassdoor reviews provide illustrative examples of the concerns captured by these systematic patterns. A MoneyGram employee commenting on the firm's 2010 relocation from Minnesota to Texas wrote that "less than 10% of the employees were offered or accepted

relocation." An Alexion Pharmaceuticals reviewer described the firm's 2018 move from Connecticut to Massachusetts as a "selfish move." An Albemarle Corporation employee, following the firm's 2016 relocation from Louisiana to North Carolina, described the destination as making "little sense from industry perspective," while a Synalloy Corporation reviewer commenting on its 2016 move from South Carolina to Virginia wrote that management was "far removed to manufacturing centers." These comments are anecdotal and are not themselves evidence of the average effect. They nevertheless illustrate the types of employee concerns, including workforce disruption, perceived managerial self-interest, and geographic separation from operations, that correspond closely to the systematic patterns in Tables 9 through 11.

5.5.5 Synthesis

Taken together, the four sets of outcomes provide a consistent picture of the consequences associated with family-proximate headquarters relocations. Investors react less favorably when the new headquarters is located near the CEO's family. In the years following the move, origin-state employees are more likely to leave the firm and, conditional on leaving, are more likely to remain in the origin state rather than move with the employer. Even before the relocation occurs, the destination has a smaller share of the firm's existing workforce nearby, indicating weaker alignment with the firm's established operational geography. Finally, origin-state employees report lower assessments of senior leadership, culture, and overall satisfaction around these moves.

Each outcome captures a different dimension of the relocation decision, and their timing helps distinguish their interpretation. The operational-footprint measure is predetermined and indicates ex ante geographic misalignment; announcement returns capture investors' forward-looking valuation of the relocation; employee separation measures realized adjustment costs following the move; and Glassdoor ratings reveal the workforce's assessment of management and organizational culture. The fact that all four measures point in the same direction is difficult to

explain solely by generic relocation costs, because the comparison in each case is between headquarters moves that differ in their proximity to the CEO's pre-existing family geography.

These findings are therefore more consistent with the distortion hypothesis than with an efficient-alignment interpretation. The destination-choice evidence in Sections 5.1–5.4 shows that CEO family geography has a causal influence on where the firm relocates. The evidence in this subsection shows that moves exhibiting this family-proximity pattern are systematically associated with outcomes indicative of lower shareholder value, greater workforce disruption, and weaker alignment with existing operations. Taken together, the results suggest that the private benefits CEOs derive from family proximity can enter corporate location decisions and create economically meaningful costs for firms and their employees.

6. Conclusion

This paper shows that the personal geography of chief executive officers shapes an important corporate decision: where firms locate their headquarters. Using a novel database that maps the residential geography of CEOs' immediate family members through administrative records and public sources, we first show that the arrival of a new CEO is the strongest organizational predictor of a headquarters relocation. We then show that, conditional on moving, firms disproportionately choose destinations close to the CEO's adult children. This pattern is difficult to explain by standard economic determinants of location choice. Actual destinations are substantially closer to CEOs' children than plausible alternatives based on industry agglomeration, and following exogenous CEO turnovers the relevant family geography shifts from that of the outgoing CEO to that of the incoming CEO. An instrumental-variable strategy that uses the geographic origins of children's spouses to isolate exogenous variation in family location yields similar conclusions. Taken together, the evidence indicates that CEOs' family geography has a meaningful influence

on corporate headquarters location.

We next examine whether this personal influence on destination choice has economic consequences. The evidence consistently points toward a tradeoff between CEOs' private geographic preferences and the interests of the firm and its employees. Relocations that bring headquarters close to the CEO's family receive announcement-day abnormal returns approximately one percentage point lower than other moves. Even before the relocation occurs, these destinations contain a smaller share of the firm's existing workforce, indicating weaker alignment with the firm's established operational geography and greater potential coordination and adjustment costs. Following the move, employees in the origin state are more likely to leave the firm and, conditional on leaving, are more likely to remain in the local labor market rather than follow the firm. Employee reviews also deteriorate sharply, particularly assessments of senior leadership and culture and values. The convergence of evidence across market reactions, predetermined operational geography, realized employee departures, and employee perceptions is consistent with family considerations distorting destination choice.

More broadly, our findings highlight a dimension of managerial preferences that receives relatively little attention in studies of corporate decision-making. The literature has traditionally emphasized pecuniary compensation, career concerns, and other financial incentives, but executives also derive utility from nonpecuniary aspects of their jobs and personal lives. Geographic proximity to family is one such benefit, and headquarters location provides managers with an unusual opportunity to influence a corporate asset in ways that can simultaneously affect their own utility and the organization they lead. Our results therefore extend the study of managerial private benefits beyond consumption, compensation, and perquisites to the geography of the firm itself.

The findings also have implications for corporate governance. Headquarters relocations are

infrequent but consequential decisions that can affect shareholders, employees, and the organizational structure of the firm. Our evidence suggests that boards and investors evaluating such decisions should consider not only conventional economic rationales, but also whether the proposed destination provides substantial private benefits to senior management. More generally, executive transitions can alter not only corporate strategy but also the personal considerations that enter major organizational choices. Recognizing these nonpecuniary incentives may therefore be important for understanding when managerial and shareholder interests diverge.

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Appendix: Variable Definitions

Variable	Definition
Relocate	Indicator variable equal to one if the firm changes its principal executive office, business, or mailing address by more than 50 miles between fiscal years $t-1$ and t, and zero otherwise. We exclude address changes coinciding with a merger, reverse merger, bankruptcy, spin-off, or sale of business, and verify each remaining event is against contemporaneous press releases and news coverage. *Source*: SEC EDGAR.
Move Distance	Geodesic distance, in miles, between the firm's old and new headquarters in the relocation effective year. *Source*: SEC EDGAR.
Log(Move Distance)	Natural logarithm of one plus *Move Distance*. *Source*: SEC EDGAR.
Distance to Nearest Child	Geodesic distance, in miles, between a candidate destination (or the actual new headquarters) and the residence of the CEO's nearest adult child, measured in year $t-1$. *Source*: SEC EDGAR, LexisNexis SmartLinx.
Log(Distance to Nearest Child)	Natural logarithm of one plus *Distance to Nearest Child*. *Source*: SEC EDGAR, LexisNexis SmartLinx.
Log(Distance Old HQ to Child)	Natural logarithm of one plus the geodesic distance, in miles, from the old headquarters to the residence of the CEO's nearest adult child in year $t-1$. *Source*: SEC EDGAR, LexisNexis SmartLinx.
New HQ to Nearest Child $\leq$ 100mi (50mi)	Indicator variable equal to one if the new headquarters is within 100 (50) miles of the residential address of the CEO's nearest adult child as of year $t-1$, and zero otherwise. *Source*: SEC EDGAR, LexisNexis SmartLinx.
Old HQ to Nearest Child $\leq$ 100mi (50mi)	Indicator variable equal to one if the old headquarters is within 100 (50) miles of the residential address of the CEO's nearest adult child as of year $t-1$, and zero otherwise. *Source*: SEC EDGAR, LexisNexis SmartLinx.
Log(Distance to Spouse Home State)	Natural logarithm of one plus the geodesic distance, in miles, between a candidate destination and the geographic centroid of the home state of the CEO's child's spouse. The spouse's home state is identified from the area of issuance of the spouse's Social Security Number. Used as an instrument for *Log(Distance to Nearest Child)*. *Source*: LexisNexis SmartLinx, U.S. Census cartographic boundary files.
Destination in Spouse Home State	Indicator variable equal to one if the new headquarters is located in the home state of the CEO's child's spouse, and zero otherwise. *Source*: LexisNexis SmartLinx, SEC EDGAR.

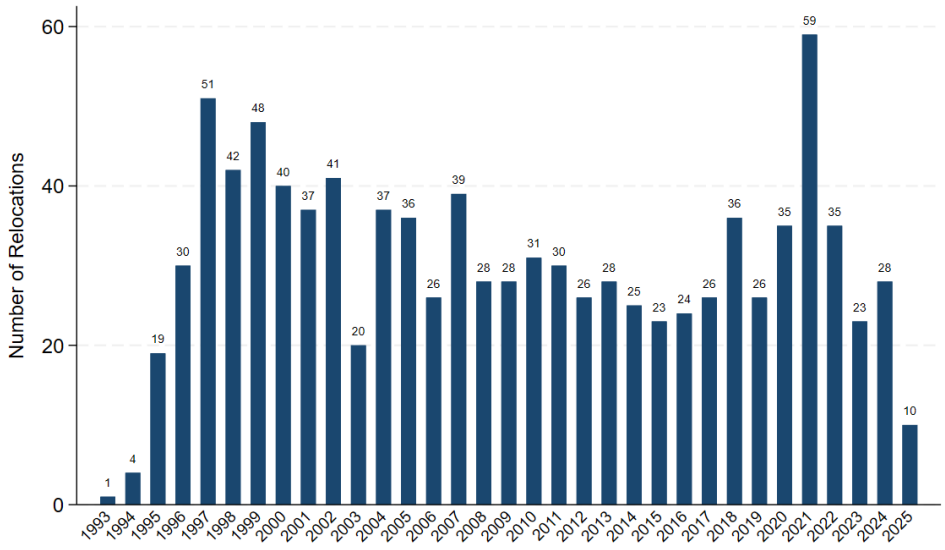
Move to CEO Home State	Indicator variable equal to one if the new headquarters is located in the CEO's own home state, defined as the state that issued the CEO's Social Security number or, when unavailable, the state of the CEO's first voter registration or driver's license. *Source*: LexisNexis SmartLinx, SEC EDGAR.
CEO Turnover	Indicator variable equal to one if the firm experiences a change in the CEO identifier between any two consecutive years in the window $t-3$ to $t-1$ relative to the relocation effective year, and zero otherwise. *Source*: BoardEx, ExecuComp, hand-collected from SEC filings.
Exogenous CEO Turnover	Indicator variable equal to one if the CEO turnover in years $t-3$ to $t-1$ is attributable to death, illness, age-based retirement, or personal reasons, and zero otherwise. *Source*: BoardEx, ExecuComp, hand-collected from SEC filings and press releases.
ROA	Operating income before depreciation ($OIBDP$) divided by lagged total assets (AT). *Source*: Compustat.
Stock Return	Annual buy-and-hold stock return over the fiscal year. *Source*: CRSP.
Return Volatility	Standard deviation of monthly stock returns over the fiscal year. *Source*: CRSP.
Altman Z-Score	Altman's Z-score, computed as $1.2 \cdot WCAP/AT + 1.4 \cdot RE/AT + 3.3 \cdot EBIT/AT + 0.6 \cdot ME/LT + 1.0 \cdot SALE/AT$. *Source*: Compustat, CRSP.
Book Leverage	$(DLTT + DLC)/AT$. *Source*: Compustat.
Cash / Total Assets	CHE/AT. *Source*: Compustat.
Market-to-Book	Market value of equity ($PRCC \cdot CSHO$) divided by book value of equity (CEQ). *Source*: Compustat, CRSP.
Log(Total Assets)	Natural logarithm of total assets (AT). *Source*: Compustat.
CapEx / Total Assets	Capital expenditures ($CAPX$) divided by total assets (AT). *Source*: Compustat.
Sales Growth	$(SALE_t - SALE_{t-1})/SALE_{t-1}$. *Source*: Compustat.
R&D / Total Assets	Research and development expense (XRD) divided by total assets (AT), with missing XRD set to zero. *Source*: Compustat.
Employees / Total Assets	Number of employees (EMP) divided by total assets (AT, in millions). *Source*: Compustat.
Firm Age	Number of years since IPO date. If missing, number of years since the firm's first appearance in the CRSP–Compustat database. *Source*: CRSP, Compustat.
Institutional Ownership Ratio	Total shares owned by institutional investors divided by total shares outstanding. *Source*: Thomson Reuters 13F, CRSP.
Institutional Ownership Concentration (HHI)	Herfindahl-Hirschman index of institutional ownership shares across institutional holders for a given firm-year. *Source*: Thomson Reuters 13F.

Talent Concern (%)	Percentage of sentences in the firm's annual 10-K filing that jointly mention *talent* (a direct reference to "talent" or "talents," or a qualifier such as "skilled," "key," or "experienced" adjacent to a worker noun such as "employee," "staff," or "workforce") and *competition* (a reference to competing, recruiting, attracting, or retaining), constructed following Chen et al. (2023). *Source*: SEC EDGAR.
CAR [0,0] (CAPM, Fama–French, FF + Momentum)	Cumulative abnormal return on the relocation announcement day, computed using the corresponding asset pricing model with a 252-day estimation window ending 30 days before the announcement. *Source*: CRSP.
Log(1 + Subsidies)$_{t,t+3}$	Natural logarithm of one plus the cumulative dollar value of state subsidies (excluding federal awards) received by the firm from the destination state in years t through $t+3$. *Source*: Good Jobs First Subsidy Tracker.
Separation	Number of workers leaving the firm from the origin state in a given year, divided by the firm's total LinkedIn-matched head-count. *Source*: Revelio Labs, LinkedIn.
Same-State Separation	Among workers leaving the firm from the origin state in a given year, share whose next observed employer is also located in the origin state. *Source*: Revelio Labs, LinkedIn.
Employment Share Near New HQ	Share of the firm's total employees located within 100 miles of the new headquarters in the year before the relocation, weighted by establishment-level employment counts. *Source*: Data Axle.
Employment Share Near Old HQ	Share of the firm's total employees located within 100 miles of the old headquarters in the year before the relocation, weighted by establishment-level employment counts. *Source*: Data Axle.
Overall Rating	Reviewer's overall rating of the firm on a one-to-five scale. *Source*: Glassdoor.
Senior Leadership	Reviewer's rating of the firm's senior leadership on a one-to-five scale. *Source*: Glassdoor.
Culture & Values	Reviewer's rating of the firm's culture and values on a one-to-five scale. *Source*: Glassdoor.
Current Job	Indicator variable equal to one if the reviewer is an employee of the firm at the time of the review, and zero otherwise. *Source*: Glassdoor.
Full Time Employee	Indicator variable equal to one if the reviewer reports being a full-time employee at the time of the review, and zero otherwise. *Source*: Glassdoor.
Employee Tenure	Reviewer's reported length of employment at the firm, in years. *Source*: Glassdoor.

Figure 1
Trends in Corporate Relocations

This figure plots the time-series of corporate headquarter relocations in the sample. Panel A reports the total number of relocations by effective year. Panel B decomposes the annual count into domestic relocations, in which both the origin and destination addresses are in the United States, and international relocations, in which either the origin or the destination address is outside the United States. We define a relocation as a move in corporate headquarter that is larger than 50 miles. Our sample spans 1993 to 2025 and includes 992 relocations, of which 922 are domestic and 70 involve an international address.

Panel A: Corporate Headquarter Relocations over Time



Panel B: Domestic versus International Relocations over Time

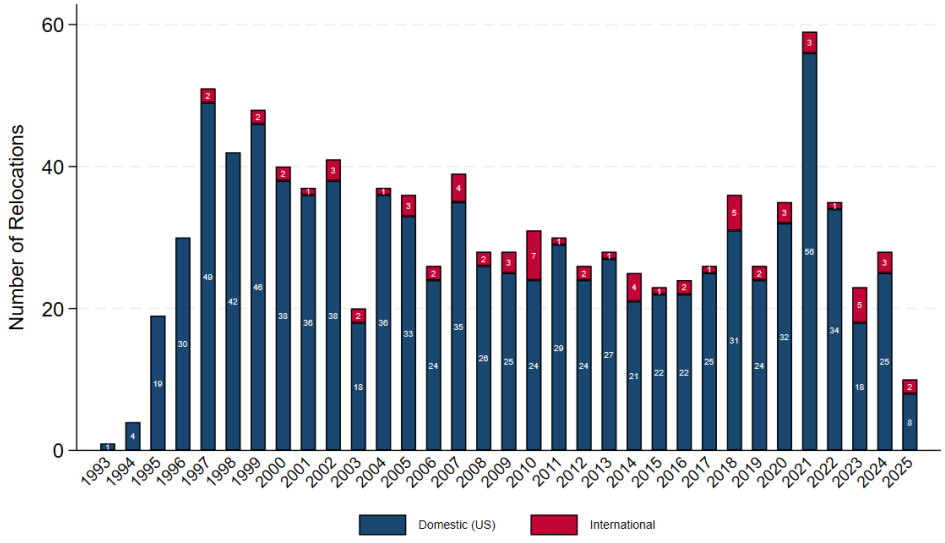
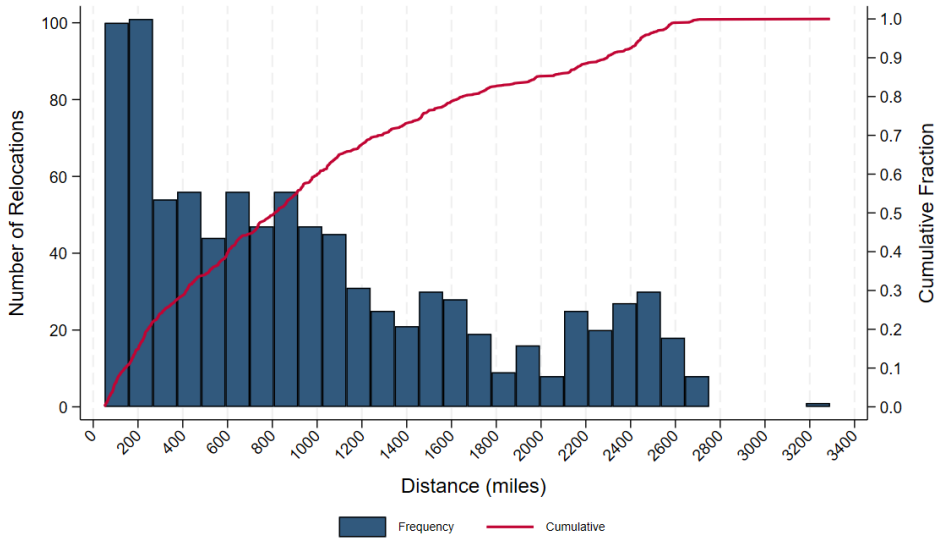


Figure 2
Relocation Distances

This figure summarizes the geographic scope of relocations in the sample. Panel A plots the distribution of relocation distances, in miles, as a histogram with 30 bins, together with the corresponding cumulative distribution function on the secondary axis. Panel B reports the annual count of relocations split into cross-state relocations, in which the origin and destination headquarters are in different U.S. states, and within-state relocations, in which the origin and destination headquarters are in the same state. We restrict the sample in both panels to domestic relocations. The sample includes 922 domestic relocations, of which 799 are cross-state relocations, and the remaining 123 are within-state relocations.

Panel A: Distribution of Relocation Distances



Panel B: Within-State versus Cross-State Relocations over Time

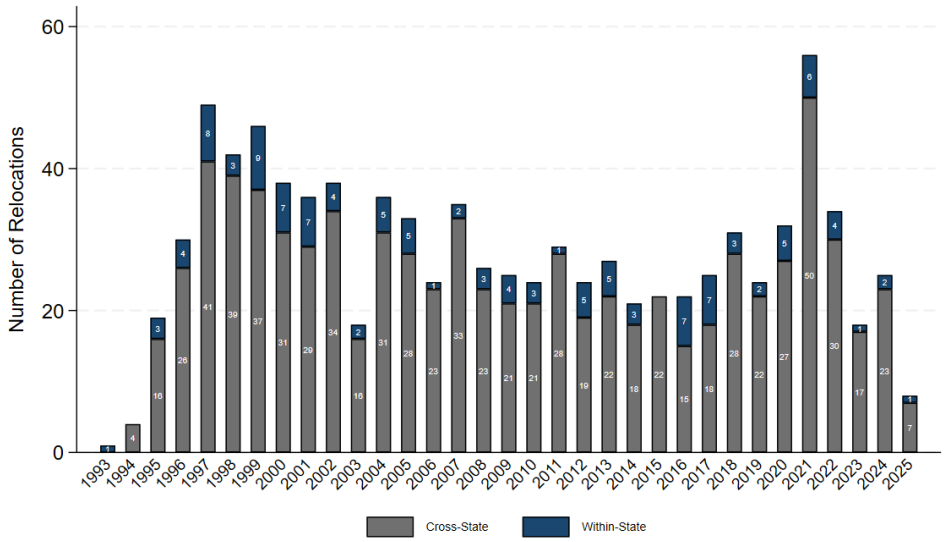


Figure 3
Corporate Relocations by Industry

This figure shows the distribution of corporate headquarter relocations across Fama-French 30 industries. For each industry, we report the number of relocations in the sample, sorted in descending order. We classify each relocator into a Fama-French 30 industry based on its CRSP+Compustat SIC code in the relocation effective year. The sample includes 866 relocators matched to CRSP+Compustat in the relocation effective year.

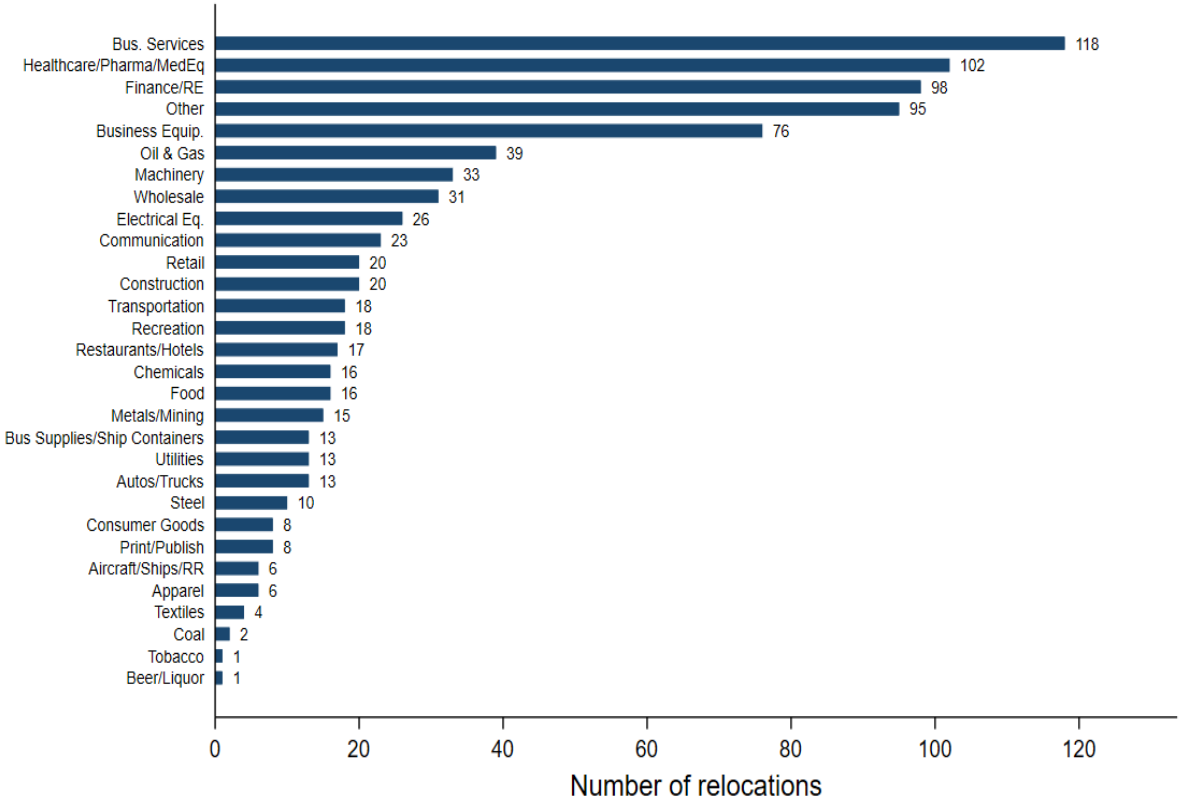
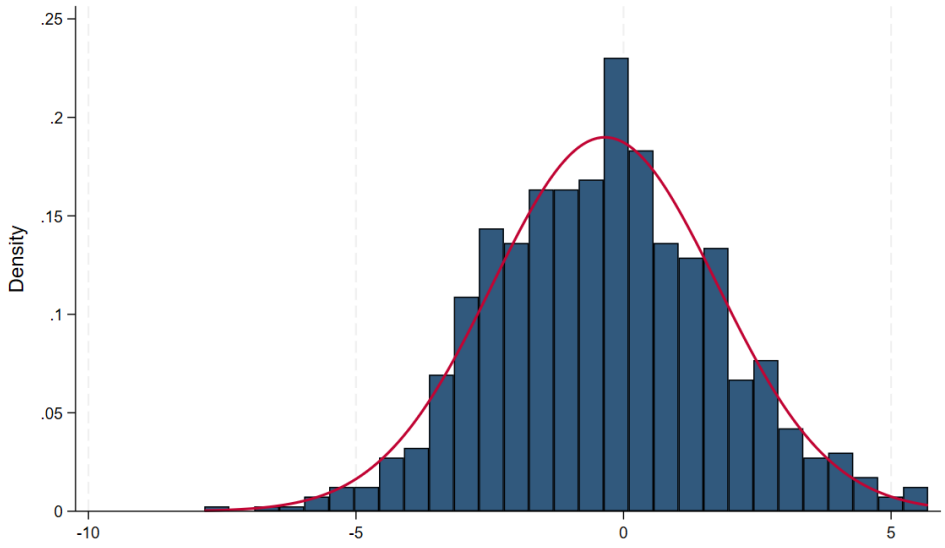


Figure 4
Relocator Size

This figure characterizes the size of corporate relocators relative to other firms in the same industry and year, where industries are defined using the Fama-French 30 classification. Panel A plots the distribution of relocators' log book assets relative to the industry-year median log book assets across all CRSP+Compustat firms, with a fitted normal density overlaid for reference. Panel B reports the percentage of relocators in each industry-year size decile, where deciles are formed using book assets within each industry and effective year over the universe of CRSP+Compustat firms. The sample includes 866 relocators matched to CRSP+Compustat in the relocation effective year.

Panel A: Distribution of Relocator Size



Panel B: Relocations by Industry-Year Size Decile

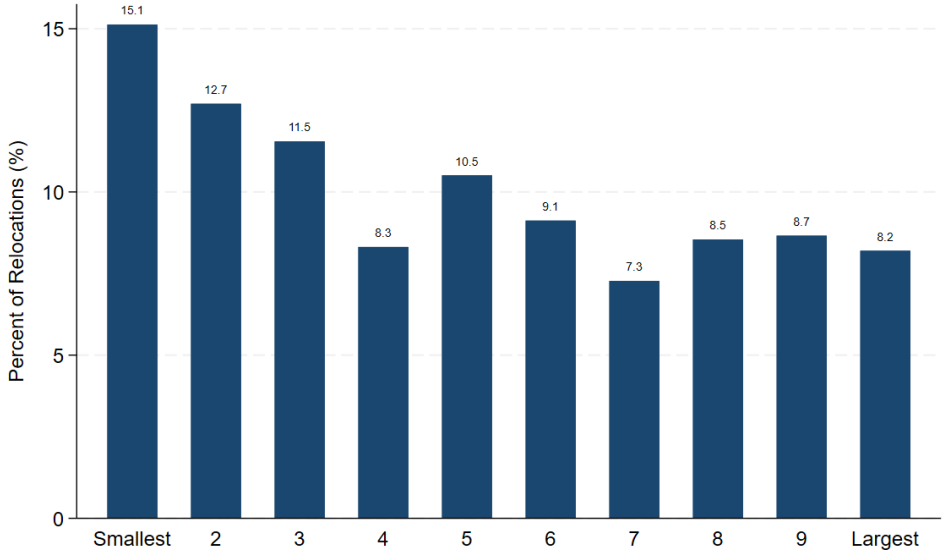
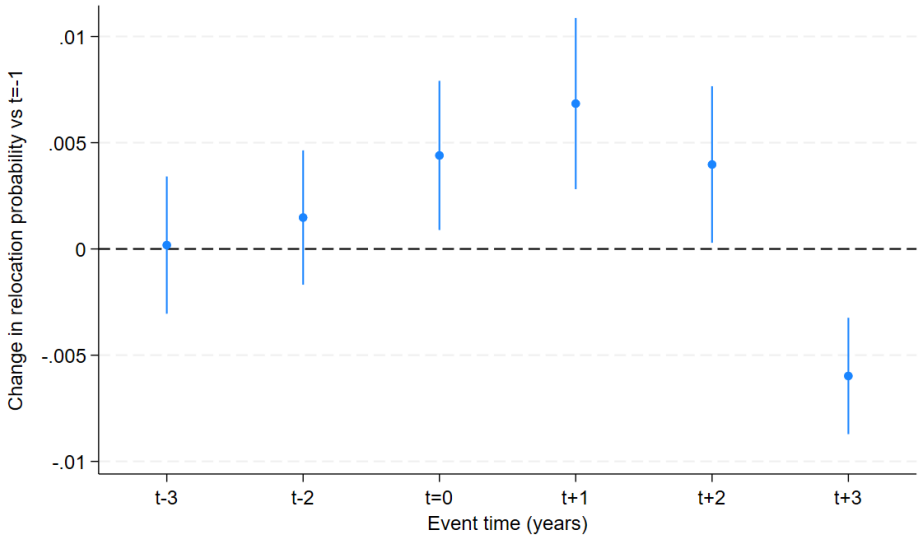


Figure 5

Dynamic Effects of CEO Turnover on Corporate Relocation

This figure plots point estimates and 95% confidence intervals from event study regressions surrounding CEO departures. Panel A examines any CEO turnover, while Panel B focuses on exogenous CEO turnover events. We classify a CEO departure as exogenous when it is attributable to death, illness, age-based retirement, or personal reasons. The dependent variable is an indicator variable equal to one if the firm relocates its headquarters in a given year. The baseline period is $t-1$, which is normalized to zero. All specifications include the full set of control variables used in Table 2 as well as state-by-year and industry-by-year fixed effects. Standard errors are clustered at the firm level.

Panel A: Any CEO Turnover



Panel B: Exogenous CEO Turnover

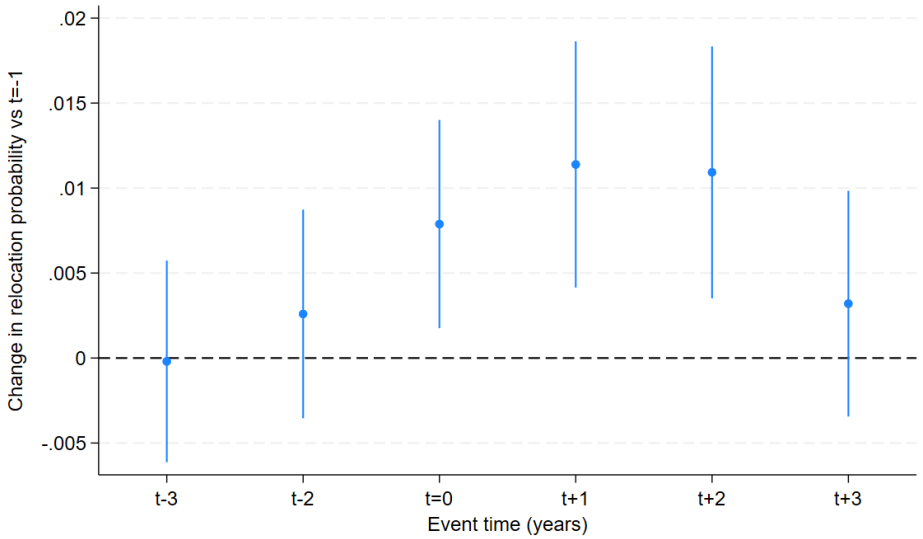
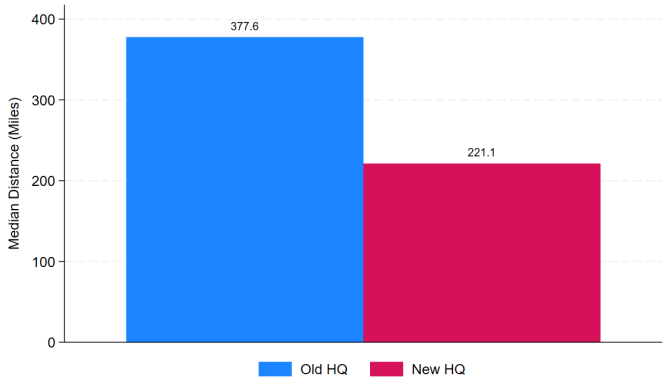


Figure 6

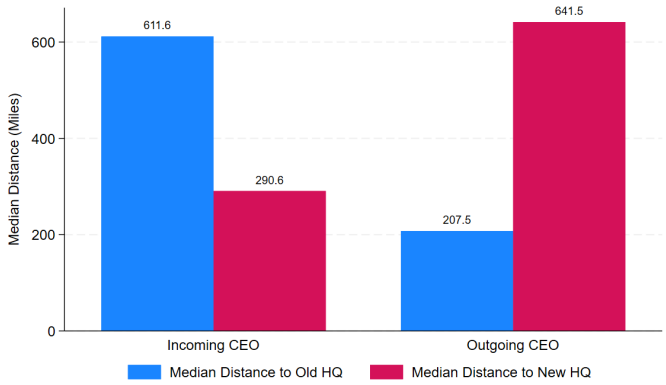
Median Proximity to the Nearest Child around Relocations

This figure plots the median distance (in miles) between a firm's headquarters and the residence of the CEO's nearest child, measured in the year prior to the relocation effective year ($t-1$). The analysis is restricted to relocations where CEOs have children and for whom child residential addresses we successfully identify in year $t-1$. Panel A presents the subsample of 419 relocations occurring without CEO turnover. Panel B presents 182 relocations characterized by a CEO turnover event within the three years preceding the move (years $t-3$ to $t-1$), excluding cases with turnover in the relocation year itself. This panel separates the proximity of incoming and outgoing executives. Panel C further restricts this turnover sample to the 48 relocations associated with exogenous departures.

Panel A: Relocations without CEO Turnover



Panel B: Relocations with CEO Turnover



Panel C: Relocations with Exogenous CEO Turnover

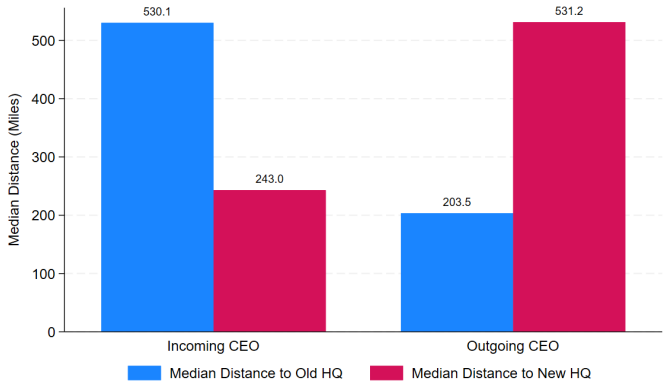
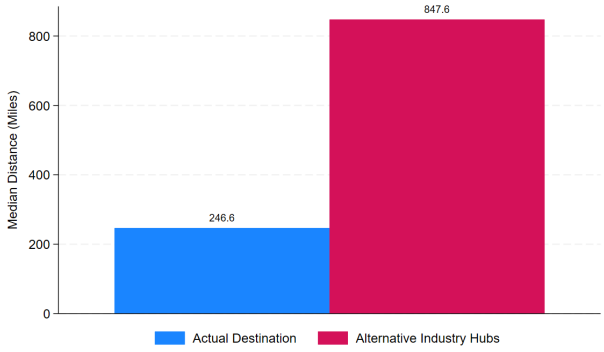


Figure 7

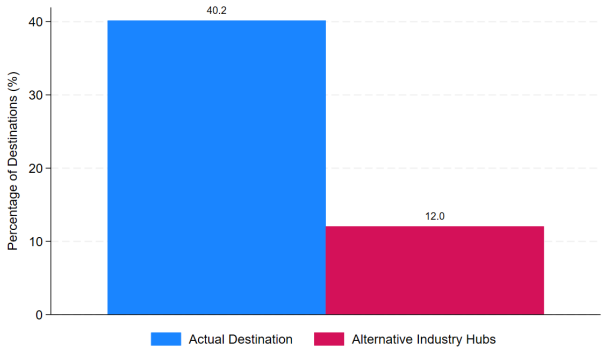
Proximity to the Nearest Child: Actual Destination vs. Industry Clusters

This figure compares the distance (in miles) between a CEO's nearest child's residence and the firm's actual post-relocation headquarters versus the top five industry clusters. Child addresses are measured in the year prior to the relocation ($t-1$). Industry clusters are defined by grouping firms within the same Fama–French 30 industry classification into 100-mile geographic grids and selecting the five largest clusters by firm count in each industry-year. The sample includes 488 relocations for which CEO names, CEO children's addresses, and CRSP+Compustat matches are available. Panel A reports the median minimum distance to the nearest child for actual versus alternative destinations. Panel B reports the share of destinations where the CEO's nearest child resides within 100 miles. Panel C plots the kernel density of log minimum distances for both groups.

Panel A: Median Distance to Nearest Child



Panel B: Share of Destinations with a Child within 100 Miles



Panel C: Distribution of Log Distances

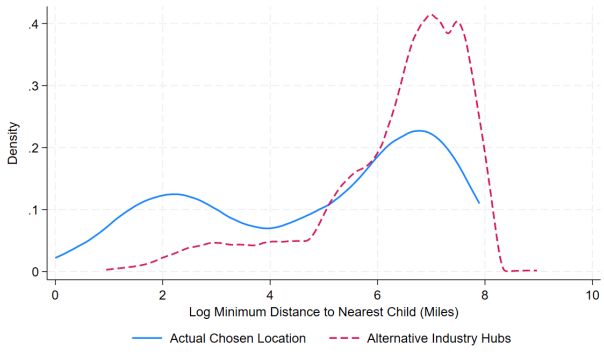


Table 1
Summary Statistics

This table reports summary statistics for the sample spanning 1993 to 2025. Panel A reports firm-year statistics for the CRSP–Compustat sample used in the determinants analysis. Panel B reports relocation-level statistics for the relocation, announcement-return, Revelio Labs, Data Axle, and Glassdoor samples described in Sections 3.1–3.3. Panel C reports CEO-level demographics, family structure, and property ownership from the LexisNexis reports of CEOs matched to relocations in effective years −3 to 0. Female and Deceased are reported as percentages; Number of Kids and Number of Grandkids count identified relatives classified as children or grandchildren; Current Properties Owned counts distinct current real-property addresses linked to the CEO. All variables are defined in Appendix A.

Variable	Mean	SD	p10	p25	Median	p75	p90
Panel A: Firms							
Relocate	0.007	0.081	0.000	0.000	0.000	0.000	0.000
ROA	-0.038	0.246	-0.258	-0.030	0.022	0.067	0.117
Stock Return	0.013	0.144	-0.145	-0.060	0.007	0.075	0.169
Return Volatility	0.141	0.093	0.054	0.077	0.115	0.175	0.255
Altman Z-Score	4.123	7.103	0.177	1.082	2.917	5.142	9.215
Book Leverage	0.223	0.216	0.000	0.035	0.174	0.349	0.520
Cash / Total Assets	0.189	0.220	0.010	0.030	0.096	0.269	0.535
Market-to-Book	2.968	4.380	0.623	1.096	1.852	3.381	6.420
Log(Total Assets)	6.280	2.199	3.402	4.667	6.258	7.768	9.189
CapEx / Total Assets	0.045	0.057	0.002	0.010	0.027	0.058	0.105
Sales Growth	0.171	0.544	-0.173	-0.027	0.075	0.218	0.494
R&D / Total Assets	0.049	0.106	0.000	0.000	0.000	0.048	0.159
Employees / Total Assets	0.006	0.010	0.000	0.001	0.003	0.006	0.013
Firm Age	19.373	16.294	3.000	7.000	14.000	28.000	45.000
Institutional Ownership Ratio	0.518	0.319	0.063	0.226	0.544	0.800	0.930
IO Concentration (HHI)	0.162	0.194	0.035	0.048	0.078	0.192	0.411
Talent Concern (%)	0.187	0.209	0.000	0.000	0.134	0.297	0.478
Any CEO Turnover	0.206	0.405	0.000	0.000	0.000	0.000	1.000
Exogenous CEO Turnover	0.090	0.287	0.000	0.000	0.000	0.000	0.000
Panel B: Relocations							
Move Distance	1128.393	1178.705	148.220	328.935	846.219	1536.710	2407.323
Distance to Nearest Child	551.914	659.367	4.018	13.405	246.630	898.830	1549.165
Distance Old HQ to Child	672.910	719.021	6.653	51.147	426.195	1006.928	1917.418
New HQ to Nearest Child $\leq$ 100mi	0.402	0.491	0.000	0.000	0.000	1.000	1.000
New HQ to Nearest Child $\leq$ 50mi	0.350	0.478	0.000	0.000	0.000	1.000	1.000
Old HQ to Nearest Child $\leq$ 100mi	0.299	0.458	0.000	0.000	0.000	1.000	1.000
Old HQ to Nearest Child $\leq$ 50mi	0.248	0.432	0.000	0.000	0.000	0.000	1.000
CAR[0,0]: CAPM	0.002	0.033	-0.026	-0.010	-0.001	0.011	0.039
CAR[0,0]: Fama–French	0.003	0.033	-0.030	-0.010	-0.000	0.011	0.039
CAR[0,0]: Fama–French + Momentum	0.003	0.034	-0.026	-0.010	-0.001	0.011	0.040
Subsidies (USD millions)	0.634	7.178	0.000	0.000	0.000	0.000	0.003
Move to CEO Home State	0.198	0.399	0.000	0.000	0.000	0.000	1.000
Separation Rate (%)	2.832	3.422	0.331	0.780	1.779	3.321	6.203
Same-State Separation (%)	4.870	5.892	0.000	0.000	3.133	7.407	12.500
Employment Share Near New HQ	0.074	0.191	0.000	0.000	0.000	0.013	0.327
Employment Share Near Old HQ	0.331	0.389	0.000	0.000	0.098	0.681	1.000
Overall Rating	3.127	0.958	2.000	2.500	3.000	3.898	4.500
Senior Leadership	2.846	1.032	1.522	2.169	2.765	3.500	4.200
Culture and Values	3.051	1.066	1.000	2.390	3.098	3.765	4.400
Panel C: CEOs							
Year of Birth	1954	11	1940	1946	1954	1962	1968
Female (%)	3.8	19.0	0.0	0.0	0.0	0.0	0.0
Deceased (%)	10.4	30.5	0.0	0.0	0.0	0.0	100.0
Number of Kids	2.6	1.9	0.0	1.0	2.0	4.0	5.0
Number of Grandkids	0.6	1.3	0.0	0.0	0.0	1.0	2.0
Current Properties Owned	2.3	2.6	0.0	1.0	2.0	3.0	5.0

Table 2
Relocation Determinants

This table reports estimates of the determinants of corporate relocation. The dependent variable is an indicator variable equal to one if the firm relocates its headquarters in a given year, and zero otherwise. Columns (1)–(3) report linear probability model estimates, while Columns (4)–(6) report Poisson Pseudo-Maximum Likelihood (PPML) estimates. Columns (1) and (4) include no fixed effects, Columns (2) and (5) include state-by-year fixed effects, and Columns (3) and (6) include state-by-year and industry-by-year fixed effects. Standard errors are clustered at the firm level. t-statistics are in parentheses.

	Linear Estimates			PPML Estimates		
	Relocate					
	(1)	(2)	(3)	(4)	(5)	(6)
ROA $_{t-1}$	-0.014***	-0.015***	-0.015***	-0.940***	-1.045***	-1.141***
	(-6.16)	(-6.29)	(-6.56)	(-6.15)	(-6.62)	(-6.87)
Stock Return $_{t-1}$	0.004*	0.003	0.002	0.408*	0.270	0.108
	(1.70)	(1.21)	(0.91)	(1.79)	(1.13)	(0.45)
Return Volatility $_{t-1}$	0.017***	0.019***	0.019***	1.946***	2.160***	2.105***
	(4.42)	(4.55)	(4.24)	(5.36)	(5.43)	(4.77)
Altman Z-Score $_{t-1}$	-0.016***	-0.016***	-0.017***	-3.019***	-3.068***	-3.101***
	(-3.50)	(-3.54)	(-3.69)	(-3.12)	(-3.19)	(-3.04)
Book Leverage $_{t-1}$	0.002	0.001	0.000	0.251	0.083	-0.026
	(1.06)	(0.40)	(0.03)	(1.40)	(0.45)	(-0.13)
Cash / Total Assets $_{t-1}$	0.003	0.001	0.001	0.347	0.126	0.048
	(1.27)	(0.45)	(0.47)	(1.38)	(0.49)	(0.18)
Market-to-Book $_{t-1}$	0.000	-0.000	-0.000	0.000	-0.005	-0.008
	(0.23)	(-0.48)	(-0.69)	(0.01)	(-0.57)	(-0.80)
Log(Total Assets) $_{t-1}$	-0.000	-0.000	0.000	-0.028	-0.023	0.056*
	(-1.09)	(-0.95)	(1.19)	(-0.95)	(-0.80)	(1.69)
CapEx / Total Assets $_{t-1}$	-0.005	-0.007	-0.011*	-0.728	-1.102	-1.742*
	(-1.00)	(-1.45)	(-1.92)	(-0.99)	(-1.44)	(-1.95)
Sales Growth $_{t-1}$	-0.000	-0.000	-0.000	-0.014	-0.034	-0.043
	(-0.29)	(-0.59)	(-0.60)	(-0.18)	(-0.44)	(-0.54)
R&D / Total Assets $_{t-1}$	-0.017***	-0.018***	-0.021***	-1.469***	-1.600***	-1.846***
	(-3.41)	(-3.48)	(-3.98)	(-3.18)	(-3.35)	(-3.65)
Employees / Total Assets $_{t-1}$	0.033	0.031	0.024	4.674	4.464	4.764
	(0.98)	(0.92)	(0.63)	(1.21)	(1.19)	(1.20)
Firm Age $_{t-1}$	0.004**	0.005***	0.002	0.584**	0.695**	0.155
	(2.46)	(2.73)	(0.78)	(2.12)	(2.41)	(0.47)
Inst. Ownership Ratio $_{t-1}$	0.145	0.192	0.040	18.881	31.228	2.960
	(1.16)	(1.45)	(0.28)	(0.99)	(1.56)	(0.14)
IO Concentration (HHI) $_{t-1}$	-0.000	0.000	0.001	0.037	0.110	0.188
	(-0.07)	(0.09)	(0.32)	(0.14)	(0.43)	(0.71)
Talent Concern (%) $_{t-1}$	0.000	0.000	-0.000	0.066	0.054	-0.043
	(0.32)	(0.10)	(-0.32)	(0.35)	(0.27)	(-0.21)
State-Year FE	No	Yes	Yes	No	Yes	Yes
Industry-Year FE	No	No	Yes	No	No	Yes
Observations	94,241	93,820	93,820	94,241	51,234	36,020
Adj. R^2	0.002	0.006	0.007	.	.	.
Pseudo R^2	.	.	.	0.023	0.084	0.142

Table 3
CEO Turnover and Relocations

This table reports estimates that augment the regressions in Table 2 with CEO turnover measures. The dependent variable is an indicator variable equal to one if the firm relocates its headquarters in a given year, and zero otherwise. Columns (1)–(2) report linear probability model estimates, while Columns (3)–(4) report Poisson Pseudo-Maximum Likelihood (PPML) estimates. *Any CEO Turnover* is an indicator for any turnover event occurring in relocation effective year -3 to relocation effective year -1. *Exogenous CEO Turnover* is an indicator for an exogenous turnover event in the same window. Standard errors are clustered by firm. t-statistics are in parentheses.

	Linear Estimates		PPML Estimates	
	Relocate			
	(1)	(2)	(3)	(4)
Any CEO Turnover $_{t-3,t-1}$	0.007***		0.951***	
	(5.23)		(6.77)	
Exogenous CEO Turnover $_{t-3,t-1}$		0.014***		1.597***
		(6.14)		(8.80)
ROA $_{t-1}$	-0.018***	-0.018***	-1.163***	-1.224***
	(-3.06)	(-3.10)	(-2.93)	(-3.04)
Stock Return $_{t-1}$	0.009**	0.009**	1.316**	0.968*
	(2.11)	(2.10)	(2.35)	(1.75)
Return Volatility $_{t-1}$	0.009	0.011	1.484	1.718
	(0.92)	(1.14)	(1.16)	(1.39)
Altman Z-Score $_{t-1}$	-0.000**	-0.000**	-0.065***	-0.073***
	(-2.18)	(-2.48)	(-3.10)	(-3.24)
Book Leverage $_{t-1}$	-0.001	-0.000	-0.148	-0.072
	(-0.22)	(-0.15)	(-0.37)	(-0.18)
Cash / Total Assets $_{t-1}$	-0.002	-0.001	-0.647	-0.497
	(-0.49)	(-0.24)	(-1.07)	(-0.82)
Market-to-Book $_{t-1}$	-0.000	-0.000	-0.005	-0.011
	(-1.00)	(-1.06)	(-0.30)	(-0.61)
Log(Total Assets) $_{t-1}$	0.000	0.000	0.038	0.032
	(0.62)	(0.62)	(0.68)	(0.58)
CapEx / Total Assets $_{t-1}$	-0.016	-0.016	-4.687**	-5.420**
	(-1.49)	(-1.50)	(-1.99)	(-2.28)
Sales Growth $_{t-1}$	-0.000	0.000	-0.022	-0.025
	(-0.01)	(0.08)	(-0.13)	(-0.16)
R&D / Total Assets $_{t-1}$	-0.017	-0.017	-1.490	-1.517
	(-1.10)	(-1.12)	(-1.06)	(-1.06)
Employees / Total Assets $_{t-1}$	0.049	0.052	6.632	6.874
	(0.77)	(0.81)	(0.98)	(0.85)
Firm Age $_{t-1}$	0.000	0.000	0.004	0.003
	(0.79)	(0.54)	(0.90)	(0.72)
Inst. Ownership Ratio $_{t-1}$	0.260	0.231	35.234	15.090
	(1.05)	(0.94)	(0.96)	(0.40)
IO Concentration (HHI) $_{t-1}$	0.014	0.015*	0.515	0.699
	(1.51)	(1.69)	(0.61)	(0.85)
Talent Concern (%) $_{t-1}$	-0.000	-0.000	-0.197	-0.209
	(-0.20)	(-0.19)	(-0.59)	(-0.60)
State-Year FE	Yes	Yes	Yes	Yes
Industry-Year FE	Yes	Yes	Yes	Yes
Observations	41,327	41,313	6,769	6,675
Adj. R^2	0.006	0.008	.	.
Pseudo R^2	.	.	0.215	0.226

Table 4

CEO Turnover Around Relocation

This table reports the percentage of relocations with CEO turnover around the relocation effective year. CEO turnover is defined as a change in the CEO identifier relative to the prior year and is measured separately over three intervals: from year −1 to year 0, from year −2 to year −1, and from year −3 to year −2, where year 0 is the relocation effective year. Any Turnover from Effective Years −2 to 0 indicates whether a turnover occurs in any of these intervals. Exogenous turnover comprises departures classified as retirement, death or health, or personal reasons.

	N	Turnover (%)	Exogenous Turnover (%)
CEO Turnover in Relocation Effective Year	894	24.0	4.7
CEO Turnover in Relocation Effective Year −1	894	20.0	3.6
CEO Turnover in Relocation Effective Year −2	894	13.4	3.6
Any Turnover from Effective Years −2 to 0	894	49.4	11.7

Table 5
Relocation Destination Choice

This table reports conditional logit estimates of location choice for corporate relocations. For every relocation event, we select the five largest geographic clusters in the firm's Fama–French 30 industry in the relocation year as pseudo locations. Industry clusters are defined using three alternative geographic grid sizes (50, 100, and 150 miles). The dependent variable equals one for the actual destination and zero for the alternatives. The independent variable is the log of one plus the geodesic distance (in miles) from each potential destination to the residence of the CEO's nearest child, measured in year $t-1$. Standard errors are clustered at the firm level. z-statistics are in parentheses.

	Relocate		
	(1)	(2)	(3)
Log(Distance to Nearest Child)	-0.429***	-0.462***	-0.450***
	(-15.117)	(-16.208)	(-15.443)
Grid Size	50 miles	100 miles	150 miles
Fixed Effects	Relocation Event	Relocation Event	Relocation Event
Observations	2928	2928	2927
Pseudo R^2	0.143	0.159	0.150

Table 6

Relocation Destination Choice: CEO Turnover

This table reports conditional logit estimates of location choice for corporate relocations, conditioning on CEO turnover status. Panel A restricts the sample to relocations preceded by any CEO turnover between years $t-3$ and $t-1$ relative to the relocation effective year. Panel B further restricts to exogenous turnovers (e.g., retirement or health-related departures). Within each panel, columns differ in the geographic grid size used to define industry clusters (50, 100, and 150 miles). For every relocation event, we select the five largest geographic clusters in the firm's Fama–French 30 industry in the relocation year as pseudo locations. The dependent variable equals one for the actual destination and zero for the alternatives. The independent variable is the log of one plus the geodesic distance (in miles) from each potential destination to the residence of the CEO's nearest child, measured in year $t-1$. Standard errors are clustered at the firm level. z-statistics are in parentheses.

Panel A: CEO Turnover

	Relocate		
	(1)	(2)	(3)
Log(Distance to Nearest Child)	-0.451***	-0.484***	-0.458***
	(-7.206)	(-8.491)	(-7.349)
Grid Size	50 miles	100 miles	150 miles
Fixed Effects	Relocation Event	Relocation Event	Relocation Event
Observations	750	750	750
Pseudo R^2	0.147	0.164	0.149

Panel B: Exogenous CEO Turnover

	Relocate		
	(1)	(2)	(3)
Log(Distance to Nearest Child)	-0.472***	-0.566***	-0.462***
	(-4.329)	(-5.428)	(-4.314)
Grid Size	50 miles	100 miles	150 miles
Fixed Effects	Relocation Event	Relocation Event	Relocation Event
Observations	210	210	210
Pseudo R^2	0.171	0.219	0.164

Table 7
Relocation Destination Choice: IV

This table reports Instrumental Variable (IV) Linear Probability Model estimates of location choice. Panel A reports the first-stage regressions of the log distance from each candidate destination to the CEO's nearest child on the instrument, the log distance from the candidate destination to the home state of the child's spouse. Panel B reports the second-stage estimates. We use geographic centroids for spouse home states and exclude cases where the spouse's home state equals the CEO's home state, defined as the state that issued the CEO's Social Security number and, when unavailable, the state of the CEO's first voter registration or driver's license. Industry hubs are defined using grid sizes of 50, 100, and 150 miles. K-P F-stat is the Kleibergen-Paap rk Wald F-statistic for the excluded instrument. All specifications include relocation-event fixed effects. Standard errors are clustered at the firm level. t-statistics are in parentheses.

Panel A: First Stage

	Log(Distance to Nearest Child)		
	(1)	(2)	(3)
Log(Distance to Spouse Home State)	0.829***	0.765***	0.752***
	(8.398)	(7.757)	(6.847)
Destination in Spouse Home State	-0.745	-0.763	-0.986*
	(-1.145)	(-1.260)	(-1.713)
Grid Size	50 miles	100 miles	150 miles
Fixed Effects	Relocation Event	Relocation Event	Relocation Event
K-P F-stat	70.53	60.18	46.88
Observations	923	906	900
Adj. R^2	0.323	0.264	0.279

Panel B: Second Stage

	Relocate		
	(1)	(2)	(3)
Log(Distance to Nearest Child) [Inst.]	-0.092***	-0.093***	-0.098***
	(-5.202)	(-4.500)	(-4.608)
Destination in Spouse Home State	0.016	0.046	0.028
	(0.245)	(0.838)	(0.373)
Grid Size	50 miles	100 miles	150 miles
Fixed Effects	Relocation Event	Relocation Event	Relocation Event
Observations	923	906	900
Adj. R^2	0.099	0.105	0.099

Table 8
Announcement Returns

This table reports OLS estimates of announcement-day abnormal returns on proximity to the CEO's nearest child. Abnormal returns are measured as cumulative abnormal returns (CARs) over the [0,0] window using three benchmarks: CAPM (Columns 1–2), Fama–French three-factor model (Columns 3–4), and Fama–French–Momentum four-factor model (Columns 5–6). The sample excludes relocations with confounding events on the announcement date and relocations shorter than 200 miles. Odd-numbered columns define proximity as having a child within 100 miles of the new headquarters; even-numbered columns use a 50-mile threshold. Control variables include the log distance from the CEO's nearest child to the old headquarters, a proximity indicator for the old headquarters, log relocation distance, log cumulative state subsidies (years 0–3) received by the firm from the new state, an indicator for moves to the CEO's home state, CEO turnover indicators, and firm characteristics (ROA, stock return, return volatility, Altman Z-Score, R&D intensity, and firm age). All specifications include industry and year fixed effects. Standard errors are double-clustered at the firm and destination-state levels. t-statistics are in parentheses.

	CAPM		Fama–French		FF+Momentum	
	(1)	(2)	(3)	(4)	(5)	(6)
Nearest Child within 100 Miles of New HQ	-0.012**		-0.011**		-0.013**	
	(-2.20)		(-2.05)		(-2.33)	
Nearest Child within 100 Miles of Old HQ	-0.016		-0.019		-0.024	
	(-0.89)		(-0.97)		(-1.12)	
Nearest Child within 50 Miles of New HQ		-0.009*		-0.008*		-0.010**
		(-1.87)		(-1.97)		(-2.36)
Nearest Child within 50 Miles of Old HQ		-0.003		-0.008		-0.011
		(-0.14)		(-0.40)		(-0.50)
Log(Distance from Nearest Child to Old HQ)	0.001	0.003	0.001	0.003	-0.001	0.002
	(0.12)	(0.75)	(0.10)	(0.54)	(-0.15)	(0.38)
Log(Relocation Distance)	-0.008**	-0.009***	-0.009**	-0.010***	-0.009**	-0.011***
	(-2.46)	(-2.80)	(-2.52)	(-3.03)	(-2.40)	(-2.92)
Log(1 + Subsidies) from New State $_{t,t+3}$	0.000	0.000	0.000	0.000	0.000	0.000
	(0.06)	(0.05)	(0.08)	(0.07)	(0.02)	(0.04)
Move to CEO Home State	0.016	0.014	0.010	0.008	0.011	0.009
	(1.41)	(1.25)	(0.80)	(0.66)	(0.84)	(0.69)
CEO Turnover	0.002	0.004	-0.001	-0.001	-0.002	-0.001
	(0.30)	(0.50)	(-0.20)	(-0.07)	(-0.25)	(-0.14)
Exogenous CEO Turnover	0.014	0.012	0.014	0.013	0.011	0.010
	(1.31)	(1.13)	(1.26)	(1.13)	(0.96)	(0.86)
ROA $_{t-1}$	0.014	0.012	0.011	0.010	0.017	0.015
	(0.49)	(0.43)	(0.40)	(0.34)	(0.56)	(0.50)
Stock Return $_{t-1}$	-0.036	-0.036	-0.016	-0.016	-0.018	-0.018
	(-1.41)	(-1.41)	(-0.66)	(-0.65)	(-0.71)	(-0.70)
Return Volatility $_{t-1}$	0.025	0.019	0.024	0.017	0.026	0.017
	(0.55)	(0.39)	(0.52)	(0.36)	(0.52)	(0.34)
Altman Z-Score $_{t-1}$	0.043	0.053	0.043	0.051	0.028	0.037
	(1.14)	(1.40)	(1.02)	(1.21)	(0.62)	(0.84)
R&D / Total Assets $_{t-1}$	0.047	0.045	0.039	0.038	0.044	0.042
	(0.55)	(0.54)	(0.45)	(0.45)	(0.50)	(0.50)
Firm Age $_{t-1}$	-0.022	-0.020	-0.025	-0.023	-0.024	-0.022
	(-1.11)	(-0.94)	(-1.23)	(-1.08)	(-1.26)	(-1.10)
Constant	0.059	0.048	0.066*	0.059	0.080*	0.072
	(1.64)	(1.18)	(1.78)	(1.36)	(1.97)	(1.58)
Industry FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	143	143	143	143	143	143
Adj. R^2	0.106	0.088	0.089	0.073	0.083	0.065

Table 9
Employee Turnover

This table reports event-study estimates of the effect of personally motivated corporate headquarters relocations on employee separation rates. The dependent variable in columns (1)–(2) is total departures from the origin state divided by total LinkedIn-matched employees firm-wide, and the dependent variable in columns (3)–(4) is the share of departures from the origin state for which the worker's next observed job is also in the origin state. New HQ to Nearest Child $\leq$ 100mi (50mi) equals one if the nearest known child of the CEO lives within 100 (50) miles of the new headquarters location. The sample includes relocations with relocation distance greater than 200 miles, and columns (3)–(4) further restrict the sample to interstate relocations. Standard errors are clustered at the relocation event level. *t*-statistics are in parentheses.

	Separation		Same-State Separation	
	(1)	(2)	(3)	(4)
Year (-2)	-0.008	-0.008	-0.005	-0.005
	(-1.56)	(-1.49)	(-0.44)	(-0.39)
Year (0)	0.001	0.001	0.003	0.002
	(0.53)	(0.50)	(0.45)	(0.37)
Year (+1)	0.002	0.002	0.006	0.005
	(0.80)	(0.70)	(0.85)	(0.66)
Year (+2)	0.000	0.000	0.000	0.000
	(.)	(.)	(.)	(.)
Year (-2) × New HQ to Nearest Child $\leq$ 100mi	0.008		0.005	
	(1.43)		(0.33)	
Year (0) × New HQ to Nearest Child $\leq$ 100mi	0.007		0.009	
	(1.46)		(0.78)	
Year (+1) × New HQ to Nearest Child $\leq$ 100mi	0.011*		0.018	
	(1.79)		(1.11)	
Year (+2) × New HQ to Nearest Child $\leq$ 100mi	0.014**		0.047**	
	(2.23)		(2.40)	
Year (-2) × New HQ to Nearest Child $\leq$ 50mi		0.007		0.005
		(1.28)		(0.37)
Year (0) × New HQ to Nearest Child $\leq$ 50mi		0.007		0.009
		(1.47)		(0.75)
Year (+1) × New HQ to Nearest Child $\leq$ 50mi		0.011*		0.018
		(1.83)		(1.12)
Year (+2) × New HQ to Nearest Child $\leq$ 50mi		0.014**		0.042**
		(2.14)		(2.16)
Log(Total Assets) $_{t-1}$	0.006	0.006	-0.033***	-0.032***
	(1.15)	(1.15)	(-2.88)	(-2.84)
ROA $_{t-1}$	-0.020	-0.020	0.041	0.040
	(-1.40)	(-1.42)	(1.44)	(1.40)
Market-to-Book $_{t-1}$	0.000	0.000	-0.000	-0.000
	(0.09)	(0.09)	(-0.66)	(-0.63)
Book Leverage $_{t-1}$	-0.029*	-0.030*	0.072**	0.066**
	(-1.75)	(-1.81)	(2.53)	(2.28)
Return Volatility $_{t-1}$	-0.043**	-0.043**	-0.032	-0.031
	(-2.11)	(-2.11)	(-0.44)	(-0.43)
Sales Growth $_{t-1}$	-0.001	-0.001	-0.003	-0.003
	(-0.33)	(-0.34)	(-0.50)	(-0.50)
Altman Z-Score $_{t-1}$	-0.001	-0.001	-0.002**	-0.002**
	(-1.10)	(-1.13)	(-2.11)	(-2.12)
Talent Concerns $_{t-1}$	0.022*	0.022*	-0.041	-0.041
	(1.91)	(1.92)	(-1.18)	(-1.18)
Relocation FE	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes
Observations	501	501	448	448
Adj. R^2	0.681	0.681	0.428	0.424

Table 10
Operational Footprint

This table examines the choice of the new headquarters location, focusing on the trade-off between the firm's existing operational footprint and the CEO's personal preferences. The dependent variable is the share of the firm's total employees located within 100 miles of the new headquarters, measured in the year prior to the relocation. New HQ to Nearest Child $\leq$ 100mi (50mi) equals one if the nearest known child of the CEO lives within 100 (50) miles of the new headquarters location. The sample includes relocations with relocation distance greater than 200 miles. Control variables are measured at fiscal year-end prior to the relocation. Standard errors are clustered at the firm level. t-statistics are in parentheses.

	Emp. Share Near New HQ	
	(1)	(2)
New HQ to Nearest Child $\leq$ 100mi	-0.061**	
	(-2.35)	
New HQ to Nearest Child $\leq$ 50mi		-0.045*
		(-1.72)
Log(Move Distance)	-0.017	-0.017
	(-0.90)	(-0.91)
Old HQ to Nearest Child $\leq$ 100mi	0.062	
	(1.02)	
Old HQ to Nearest Child $\leq$ 50mi		0.092
		(1.46)
Log(Dist. Old HQ to Child)	0.020	0.024*
	(1.54)	(1.77)
Log(Total Assets) $_{t-1}$	-0.002	-0.002
	(-0.23)	(-0.27)
ROA $_{t-1}$	0.083*	0.087**
	(1.91)	(1.99)
Market-to-Book $_{t-1}$	-0.002	-0.002
	(-0.87)	(-0.79)
Book Leverage $_{t-1}$	0.000	-0.001
	(0.00)	(-0.02)
Return Volatility $_{t-1}$	0.065	0.053
	(0.45)	(0.37)
Sales Growth $_{t-1}$	-0.008	-0.009
	(-0.60)	(-0.65)
Altman Z-Score $_{t-1}$	-0.170	-0.140
	(-1.23)	(-1.08)
Talent Concerns $_{t-1}$	-0.066	-0.069
	(-1.05)	(-1.13)
CEO Turnover	-0.035	-0.030
	(-1.21)	(-1.04)
Exogenous CEO Turnover	0.088	0.082
	(1.59)	(1.50)
Employment Share Near Old HQ	-0.137***	-0.134***
	(-3.74)	(-3.63)
Industry FE	Yes	Yes
Year FE	Yes	Yes
Observations	291	291
Adj. R^2	0.173	0.164

Table 11
Employee Ratings

This table reports event-study estimates of the effect of personally motivated corporate headquarters relocations on employee ratings of their employer posted on Glassdoor. The dependent variable in columns (1)–(2) is the reviewer's overall rating, the dependent variable in columns (3)–(4) is the rating of senior leadership, and the dependent variable in columns (5)–(6) is the rating of culture and values, each measured on a 1–5 scale. New HQ to Nearest Child $\leq$ 100mi (50mi) equals one if the nearest known child of the CEO lives within 100 (50) miles of the new headquarters location. The sample includes relocations with relocation distance greater than 200 miles and is restricted to reviews by employees located in the origin state of the relocation within two years before to two years after the relocation effective year. Standard errors are clustered at the relocation event level. t-statistics are in parentheses.

	Overall Rating		Senior Leadership		Culture & Values	
	(1)	(2)	(3)	(4)	(5)	(6)
Year (-2)	0.172*	0.170*	0.198	0.193	0.227*	0.216
	(1.75)	(1.73)	(1.66)	(1.62)	(1.78)	(1.66)
Year (0)	0.207***	0.194***	0.255**	0.242**	0.282***	0.285***
	(3.08)	(2.79)	(2.55)	(2.40)	(3.20)	(3.27)
Year (+1)	-0.006	-0.000	0.010	0.003	0.175	0.191
	(-0.05)	(-0.00)	(0.08)	(0.03)	(1.20)	(1.35)
Year (+2)	0.000	0.000	0.000	0.000	0.000	0.000
	(.)	(.)	(.)	(.)	(.)	(.)
Year (-2) × New HQ to Nearest Child $\leq$ 100mi	-0.318		-0.263		-0.525**	
	(-1.59)		(-1.02)		(-2.22)	
Year (0) × New HQ to Nearest Child $\leq$ 100mi	-0.587**		-0.902**		-0.763***	
	(-2.06)		(-2.52)		(-2.77)	
Year (+1) × New HQ to Nearest Child $\leq$ 100mi	-0.024		-0.366		-0.152	
	(-0.08)		(-0.85)		(-0.41)	
Year (+2) × New HQ to Nearest Child $\leq$ 100mi	-0.388		-0.709		-1.353**	
	(-1.02)		(-1.47)		(-2.62)	
Year (-2) × New HQ to Nearest Child $\leq$ 50mi		-0.403**		-0.383		-0.599**
		(-2.05)		(-1.52)		(-2.36)
Year (0) × New HQ to Nearest Child $\leq$ 50mi		-0.530		-0.819**		-0.778**
		(-1.59)		(-2.01)		(-2.34)
Year (+1) × New HQ to Nearest Child $\leq$ 50mi		-0.130		-0.302		0.210
		(-0.33)		(-0.46)		(0.48)
Year (+2) × New HQ to Nearest Child $\leq$ 50mi		-0.347		-0.536		-0.475
		(-0.61)		(-0.68)		(-0.42)
Log(Total Assets) $_{t-1}$	-0.352***	-0.347***	-0.304**	-0.310*	-0.169	-0.167
	(-3.21)	(-2.79)	(-2.16)	(-1.93)	(-1.42)	(-1.32)
ROA $_{t-1}$	0.513*	0.573**	0.597*	0.659*	0.361	0.348
	(1.91)	(2.06)	(1.67)	(1.82)	(1.14)	(1.12)
Return Volatility $_{t-1}$	0.793	0.550	0.792	0.442	0.882	0.796
	(0.67)	(0.43)	(0.56)	(0.30)	(0.71)	(0.62)
Market-to-Book $_{t-1}$	-0.001	-0.001	0.006	0.006	0.012***	0.012***
	(-0.13)	(-0.22)	(1.45)	(1.39)	(2.70)	(2.82)
Current Job	0.387***	0.386***	0.391***	0.388***	0.403***	0.401***
	(4.21)	(4.20)	(3.86)	(3.84)	(3.72)	(3.71)
Full Time Employee	-0.377***	-0.378***	-0.496***	-0.495***	-0.408***	-0.407***
	(-4.06)	(-4.06)	(-5.12)	(-5.10)	(-3.61)	(-3.59)
Employee Tenure	-0.001	-0.001	-0.005	-0.005	-0.005	-0.005
	(-0.15)	(-0.15)	(-0.60)	(-0.62)	(-0.78)	(-0.78)
Relocation FE	Yes	Yes	Yes	Yes	Yes	Yes
Year FE	Yes	Yes	Yes	Yes	Yes	Yes
Observations	2,066	2,066	1,877	1,877	1,808	1,808
Adj. R^2	0.084	0.083	0.095	0.094	0.115	0.114